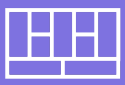
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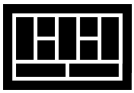
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SUPER GUIDE:

WEALTHTECH BUSINESS MODEL

BY DANIEL PEREIRA



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INTRODUCTION

Before now, management of wealth and investments was a job for highly skilled professional consultants. These professionals were trained to oversee and analyze assets and savings. They were also tasked with managing the variety of investment strategies for the wealth generated. However, these services were reserved for large and affluent companies.

This exclusivity posed a problem for individuals and less qualified professionals who needed personal management and sought to grow wealth and financial stability through effective investment strategies while minimizing risk.

This is where WealthTech comes in. The revolution of WealthTech began half a decade ago with an initiative to integrate digitalization with the investment and wealth management sectors.

Their new understanding of personal savings and asset management made WealthTech capable of utilizing technology to implement strategies that would make self-management and equity investment financial services possible for corporations and individuals who were once in the minority.

But the question is, what is WealthTech and what role does it play in the finance sector and wealth management? In this in-depth analysis of the WealthTech business model, we will share with you everything you need to know about the industry.

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WHAT IS WEALTHTECH

To understand what WealthTech is, we must first define wealth management. Wealth management is an investment advisory service offered by financial advisers to their wealthy clients to solve, grow, preserve, and protect their wealth while improving their financial condition.

With that same logic, WealthTech is the use of technology in wealth management to provide innovative and disruptive digital solutions for the investment and asset management industries.

It is the integration of innovative technology with the financial sector to improve the management of assets and investments. This integration enables it to compete with traditional wealth management organizations by making the solutions used in the management of assets more efficient and automated.

WealthTech allows its users to utilize the latest in technology to gain insights and show the inner workings of an industry meant for wealth creation in ways that weren't possible before. It also provides financial advice through AI, machine learning, advanced application of big data, micro-investment platforms, or trading solutions based on social networks. This in turn resolves the problem of upgrading business models and growing wealth.

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RELATIONSHIP BETWEEN WEALTHTECH AND FINTECH

WealthTech and Fintech are severely interconnected and are both held to the same regulatory framework and objectives. And although WealthTech is mostly considered a subdivision of Fintech in the same manner that wealth management is considered a subdivision of finance, we must be careful not to over-converge the pair as each is distinctively different from the other.

In the financial sector, companies must comply with KYC (Know Your Client) requirements and online operations in investments, which are controlled under a series of regulations that ensure the safety of both users and clients as well as organizations, institutions, and companies.

On that note, both Fintech and WealthTech are regulated under the same framework and must conform to AML (Anti-Money Laundering) regulations such as AML6 (Sixth European Money Laundering Directive) and eIDAS (electronic IDentification, Authentication, and Trust Services), which gives the fundamental regulatory framework concerning online financial, banking, and investment operations. However, these are not the only frameworks required to be able to offer online services within the finance sector.

Although WealthTech and Fintech work alongside each other, there is a clear difference between them, especially in their business models and their advertising and commercial proposals.

To draw up a rough comparison between the two, consider Fintech as an investing platform that allows customers to

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purchase and sell a wide range of assets. It enables them to get hands-on with their investment portfolios and become active individual investors, all while increasing their wealth. WealthTech, on the other hand, allows its customers to participate in the stock market while also taking into account their long-term financial objectives, risk tolerance, and investment horizons. It does not allow its customers to trade individual stocks (or other asset classes), instead using algorithms to invest in passive funds. It treats its consumers as though they are wealthy individuals.

The two have now become interconnected when FinTech businesses collaborate with WealthTech firms to provide investment services to customers, for which they receive a fee by operating as business partners.

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HISTORY OF WEALTHTECH

In recent times, there has been a characteristic incentive to digitize all aspects of our economy and finances, and now with the emergence of WealthTech, the wealth management sector has joined the race. But how did it all begin?

STAGE 1: ORIGIN OF WEALTHTECH

Looking back into the history of the wealth management industry, way before WealthTech became a thing in 2008, there were algorithmically driven investment platforms and services like Edelman Financial Engines, which was created in 1996 and can be considered the first robo-advisor. It used to provide retirement planning and fund-picking software for its users, and other software-supported wealth managers at the time.

STAGE 2: GROWTH OF WEALTHTECH

However, in 2008, there was a breakthrough in wealth management with the release of Betterment's platform, which marked the initiation of the WealthTech movement. And as of 2022, Betterment is the largest global robo-advisor platform. In 2008, another platform, called Wealthfront, also went live.

Betterment was launched around the same time as the 2007 Global Financial Crisis, which led to many investors' portfolio values dropping by as much as 30%. Many believe that it was this crisis that inspired the motive behind Betterment because people were desperate for new ways to control and

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stabilize their financial situation in such a difficult time.

Apart from the crisis, which was beyond a doubt part of the equation, it appears that the convergence of new consumer technology played a bigger role. And this particularly includes the release of the first iPhone back in 2007 and the newly found independence of the tech industry.

When merged, the difficulties many businesses had to tackle were exposed to solutions and new channels that conveyed these solutions. App-delivered services were possible for the first time, through sophisticated software and hardware that were now in the pockets of consumers and no longer limited to bulky systems.

In 2011, yet another robo-advisor, but London-based this time, was introduced, and it was coined Nutmeg. Other robo-advisors sprung up in the following years, including Wealthsimple (Canada), Scalable Capital (Germany), TrueWealth (Switzerland), Stockport (Australia), 8 Securities (Asia-Pacific), and Moneyfarm (Italy). There are an estimated 100 robo-advisors around today.

In 2012, micro-investing pioneer Acorns was founded, and Stash followed quickly in 2015. The robo-retirement company RobustWealth was also launched in 2015, but ended up being absorbed into its parent company in 2021.

STAGE 3: CONSOLIDATION OF WEALTHTECH

By 2020, most of the world's largest financial institutions had incorporated robo-advisory technology as part of their products, but it was also around this time that we saw a

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significant change in their digital advice strategy. Consolidation began, and a lot of the more successful robo-advisors were bought out for substantial amounts of money. In 2021, JPMorgan purchased Nutmeg for about $5 billion, while USB acquired Wealthfront a year later for $1.4 billion.

And this brings us to the present, where the best WealthTech startups have validated their business models and have attracted the attention of some of the biggest players in the financial world.

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TYPES OF WEALTHTECH COMPANIES

WealthTech is not one thing in particular, but rather the interrelation of a collection of key players within the sector that act as a coordinated mechanism that shapes up a thriving industry to obtain impressive results.

But the question remains, how is this accomplished? Below is a general summary of the many types of WealthTech companies available:

DIGITIZED FINANCE COMPANIES WITH WEALTHTECH PRODUCTS

It was only recently that traditional banks and Fintechs started to offer WealthTech-native autonomous investment services to their users. However, they were the first in the finance sector to take the initiative to make an active step towards the digitization of their activities and were the pioneers of the financial services we all know today.

TECHNOLOGY PROVIDERS

These are tech providers that have either developed technologies that make it possible for entrepreneurial businesses to implement the business models that they have already generated for other WealthTech companies. Or that

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have developed products that create WealthTech solutions for their users, which they can use to create businesses or product ranges themselves.

With digital onboarding solutions such as KYC (Know Your Customer), anti-fraud controls and identity verification, the electronic signature for contracting, or certified communication for secure and supported customer relations, these technologies enable these businesses to operate, grow, and stand out.

TRADING

Trading platforms are reinventing personal finance and wealth management because they utilize the best digital solutions that have created a window for them to optimize their conversion rate through onboarding processes that make them gain more and more users in all markets without any risk.

Everyone is aware of the amount of advertising that these platforms have been doing recently. And the fact that they can afford such marketing investments only goes to prove their rapid growth.

SOCIAL TRADING AND DIGITAL BROKERS

With the aid of wealth technology, anyone can reuse the investment strategies and portfolios of successful brokers as well as those of friends, family, or role models. Through forums, telegram groups, and communities, social networking is encouraged and utilized for the trading of ideas, tips, and initiatives. Now, anyone can copy the investment methods

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and portfolios of the most experienced brokers, as well as those of their friends.

From online platforms to software tools, digital brokers bring stock market information and opportunities within anyone's reach. The latest innovation is "social trading", which allows users to follow their investments like "Facebook status updates".

CRYPTOCURRENCY EXCHANGES

These platforms operate like traditional trading platforms, but their focus is on crypto assets. Although numerous trading platforms already support cryptocurrency trading, it is the expertise of these specialists that distinguishes them.

MARKETPLACES

These platforms are tasked with tracking investment services and providing comparative studies of the market. These comparative portals aid in making data-driven judgments, as well as facilitate investment activity through the use of automation and information extraction.

INVESTMENT TOOLS

These tools are a B2B segment of wealth tech solutions. They are used by more professionals than average users. These application kits monitor portfolios, notify users of changes or when targeted returns are met, and offer access to networks of advice. They also provide extra information to investors through digital tools, either from buyers, research, or access to advice.

Portfolio management solutions help financial institutions with

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asset class analysis, and with the help of automation and organization, they also increase the efficiency of most tasks.

COMPLIANCE AND REGTECH

The regulators of each industry have a set of legal norms and standards that must be met by all its sectors. WealthTech is no exception to this rule. Like the rest of the financial sector, WealthTech must follow the technical and legal norms that have been set to regulate its activities. To that end, RegTech has developed digital business solutions that automate compliance with the most demanding standards and are seamlessly integrated into the sector's business operations and processes.

FINANCIAL ADVISORS

Companies in this category provide specialized software to aid in the adoption of digital wealth management and investing practices. They offer digital and online financial guidance to the user that was previously done in traditional onsite banking. There are those that conduct operations and those who simply encourage their clients to conduct operations on other platforms. This category includes companies like Plaid Technologies, which is a software intermediary that securely connects financial application clients with their own bank accounts.

ROBO-ADVISORS

This is by far the most popular wealth technology available. Robo-advisors automate financial investments by providing online financial advice or investment management with minimal to no human interaction. These programs use machine-learning algorithms to generate profitable

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investment options and yield targets depending on the user's risk aversion profile and other variables such as age and income. Passive management can be set up to be automated and to function as the client based on the settings that the client specifies.

Robo-advisors are replacing traditional financial advisors and portfolio management by driving down prices and targeting a far larger audience. They can generate revenues with lower margins and increased transaction volumes.

ROBO-RETIREMENT

This is a type of robo-advisor. Robo-retirement solutions handle retirement savings, which are also quite popular in the industry. This category includes businesses that specialize in managing consumers' retirement funds. In contrast to human financial planners, robo-retirement platforms develop retirement portfolios, manage assets, provide strategies, and recommend plans generated by a computer system.

So, because this is a retirement plan idea, it is based on a format appropriate for the baby-boom generation and with simple interfaces, though it is suited for any user.

QUANT-ADVISORS

This is used when technology is carried to its logical conclusion and put to use in the service of trading and brokers. Artificial Intelligence, Big Data, and Machine Learning collaborate to foresee changes, and independently adapt the settings that the user supplies to the robo-advisers to increase their performance, and therefore conduct effective operations. Algorithmic trading, which runs alongside them, makes them work in real time.

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LENDING AND CROWDFUNDING

Crowdfunding is a method of raising funds to sponsor initiatives and enterprises. It allows fundraisers to collect funds from a huge number of individuals using online channels. Crowdfunding is most commonly utilized by startups or emerging enterprises to seek alternative funds.

Lending-Based Crowdfunding is a crowdfunding strategy in which investors provide capital in the form of modest loans and earn returns through interest payments from borrowers. These participatory funding solutions are not new, but they have been added to the WealthTech ecosystem to round out the offering and reach more customers.

MICRO INVESTMENTS

A micro-investing platform is an application that allows users to save small amounts of money regularly. Micro-investment platforms aim to reduce traditional barriers to investing, such as brokerage account minimums, and encourage people to invest even if their income and assets are restricted.

You can either automate the process by allowing the platform to manage your portfolio based on your particular preferences, or you can choose your EFTs and equities. Micro-investing, when given this option, gives a more interactive experience than employing a robo-advisor.

Platforms have been built to bring together various projects, ranging from microcredit granting to P2P (Peer to Peer) models.

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WEALTHTECH SOLUTION MARKET OVERVIEW

WealthTech solutions are centered on wealth management. Companies and organizations of various sizes use them to achieve their financial objectives. Wealth tech solutions successfully integrate the digital sphere with the financial management sector by utilizing cutting-edge technologies such as artificial intelligence and big data.

WealthTech solutions not only provide an alternative to traditional wealth management organizations, but they also have several other advantages. These benefits include cost. transparency, effective portfolio management, improved client service, and increased asset liquidity.

They are not restricted to this, as they also focus on digitizing customer relationship management, retirement savings, comprehensive financial data analysis, and process/outsourcing automation. In addition to dealing with complex tax planning, cash flows, legacy planning, and estate planning,

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KEY MARKET PLAYERS

3RD EYES ANALYTICS

This Swiss financial technology company provides financial institutions with digital solutions that let them use realistic and scenario-based asset-liability management methodologies. These methods provide modular and flexible, white-labeled Software-as-a-Service and API solutions that improve, automate, and visualize wealth planning interactively.

ADVISCENT

This firm focuses on innovative investment content management and dissemination solutions for advisory procedures. Driving revenue by delivering the appropriate content at the right time and in the right format to the right client. It assists research analysts, investment writers, sales managers, and other content owners in producing, managing, and distributing financial material. It allows users to use and synchronize content from the investment office, research, and offering departments across the client relationship lifetime. Its brilliant content solutions extend client advisors' reach and impact while ensuring personalization at scale.

ALPHASWAP

This investment technology platform bundles its analyst community's best equity investment robo-adviser ideas for institutional customers into Data-as-a-Service customers.

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INVESTSUITE

Through its AI-based digital investment solutions, this B2B WealthTech startup helps financial institutions speed up their digital wealth transformation. It provides a complete, customizable solution that provides a digital investment product that financial institutions can give to their clients.

OBJECTWAY

This company provides software platforms for asset and investment management to the financial sector. It offers its clients omnichannel and omni-device solutions. Through integrated digitalization, its management and onboarding solutions improve the client experience and client interactions. The solution handles the complete client life cycle, from prospecting to onboarding, as well as continuing service delivery such as compatibility reviews and other periodic and ad hoc events.

SCALABLE CAPITAL

This digital wealth manager uses technology to simplify asset management and make investments more affordable. Customers can use the robo-advisor to invest their money and trade actively with the broker. It provides a platform for retail investors to trade stocks, funds, and ETFs.

ADDITIV

Additiv enables financial organizations to benefit from digitization. Its DFS technology enables financial institutions to quickly launch innovative products and maximize client engagement. To satisfy the increased need for financial

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decision support, it enables its customers' clients to employ a user-friendly and scalable financial simulation engine. It provides financial managers with sustainability insights to help them develop smarter portfolios, deliver better client assistance, and simply comply with regulations.

ORION

Orion is a platform for advisory firms aiming to expand, strengthen client connections, acquire a competitive advantage in a crowded field, and establish strong, successful businesses. Their technology-enabled trustee approach alters the advisor-client relationship by allowing financial advisors to prospect, plan, invest, and achieve in a single, connected technology-driven experience.

This technique enables advisers to recruit new customers, more meaningfully relate goals to investing strategies and outcomes, and ultimately track progress toward each investor's personal definition of financial success.

PERSONAL CAPITAL

This digital asset manager and robo-advisor offer a full set of free financial planning tools for investment management, retirement planning, and cash flow. It also provides access to a high-interest savings account as well as a variety of free banking services.

For high-net-worth individuals and families, they provide individualized investment management services as well as a licensed financial planner.

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MONEYFARM

Moneyfarm is an online investment firm that uses a digital asset management platform to offer low-cost independent investment advisory services to small investors.

The company's technology enables it to generate a unique profile for each customer depending on their investment goal and risk tolerance. It has a team that is tasked with monitoring the investment condition and making recommendations to rebalance portfolios based on market trends.

NUTMEG

Nutmeg is an online investment management service that makes all investment decisions on its customers' behalf rather than providing a trading platform. Customers' funds are invested per their investment objectives and risk appetite. It primarily, but not entirely, invests in listed securities, debt, cash, commodities, and other investment asset classes through exchange-traded funds (ETFs). It offers an online alternative to stockbroker platforms that allow users to make their own trading decisions.

ETORO

eToro is a multi-asset brokerage firm that provides social trading solutions through its community-powered network. These technologies allow investors to view, follow, and automatically duplicate other investors' actions in real-time. They create a more straightforward, transparent, and profitable way to trade and invest online.

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ZEN ASSETS

This online wealth management tool is only available to rich private clients and boosts investment returns by up to 40%.

The firm offers customized, well-diversified, and highly liquid investment portfolios. The platform integrates portfolio management with investment products to provide clients with higher returns. It boosts investment returns by lowering the cost of professional asset management.

CASHBOARD

This web platform allows retail investors to invest in a personalized and scientifically diversified portfolio. This portfolio combines current asset classes such as equity-based crowdfunding, social lending, and social trading with classic assets such as stocks, funds, and options. Through their modern portfolio theory, investment decisions are fully automated.

TAVIQ

Taviq is a WealthTech financial operator within the WealthTech sector. It offers private bankers web software that assists them in converting prospects into new paying clients. The software not only collects information about the client's demands, but also creates a personality profile using user behavior analytics. These results are forwarded to the adviser, who can then prepare for the encounter and determine what tone of communication to use with this possible customer. Finally, the bankers can determine which person is best suited to meet with this new client.

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VAAMO

This robo-advisor is intended to show investors how close they are to meeting their objectives and how their deposits accumulate over time.
Its primary goal is to provide private individuals with straightforward access to capital markets. It is focused on personal financial goals like early retirement or children's schooling. Vaamo allows its users to invest their money profitably and at the lowest possible cost. This is accomplished by providing clients with relevant counsel and advice.

BETTERMENT

Betterment is a great solution for anyone who wants to develop their wealth without having to spend a lot of time managing it. It provides its customers and businesses with financial, retirement, and cash management products. It also offers financial counseling, and its EFTs comprise equities and bonds from its portfolio.

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WHY USE WEALTHTECH SOLUTIONS?

The goal of wealth management firms is to retain old and acquire new clients through the provision of financial advice or guidance to customers. These firms help clients protect and grow their wealth, often going beyond simply providing advice on their investments or designing a financial plan for them.

It has been noted that traditional wealth management methods alone aren't enough to satisfy clientele. Adopting a hybrid model of wealth management enhances the offerings of wealth managers in reporting, regulation, client onboarding, and investment execution. Below are reasons why WealthTech Solutions are worth adopting.

GROWING BUSINESS BENEFITS YOUR CLIENTS

Financial management firms, like any other company, benefit greatly from steady business growth. An increase in revenue, an attractive portfolio, and business expansion are all advantages of business growth. Aside from the benefits the firm reaps, investors also enjoy more efficient customer service, more precise financial reports, and an enhanced customer experience, among other benefits.

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Traditional financial advisory services in modern times have shown that branding is simply not enough to retain clients and attract new customers in new markets. Existing clients want results, and new investors need a steady hand to guide them through financial processes. Overall, client experience and client engagement are key to bringing customer satisfaction, and firms integrating WealthTech into strategic planning will see favorable results.

THE RIGHT WEALTHTECH CAN STREAMLINE AN ASSET MANAGER'S JOB.

Implementing faster and easier processes without reducing the quality of customer experience is integral to the efficient running of an organization. This is purely th purpose of streamlining; plus, adopting WealthTech tools assists in this field.

In traditional financial management models, much time is often wasted on back-end operational tasks, which leaves less time with clients; a strategy that ruins the customer experience. The biggest digital solution WealthTech provides to this problem comes in the form of the data and application programming interface (API) WealthTech provides. An API establishes an online connection between a data provider and an end user. APIs are essential to implementing an automated trading strategy, which allows financial managers to streamline mundane, manual processes.

Merging technology and human capabilities is important for the financial sector, as digital solutions make up for human flaws and give rise to better customer service methods.

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REDUCED COSTS FOR WEALTH MANAGEMENT COMPANIES

In this era of technology, many fears that WealthTech threatens job security in the financial sector. However, it is clear that investors value interactions with human advisors, and WealthTech is simply a tool for improving customer and even staff experience. That said, manpower shortages are a problem for financial firms as well as revenue loss for a wide array of staff. WealthTech allows companies to work around staff shortages and cut costs significantly.

PROCESS ACCELERATION FOR A BETTER CLIENT EXPERIENCE

For every successful business, a quality customer experience sits at the forefront. Offering clients the best experience not only solidifies the already existing clientele, but also attracts new clients. For financial managers, professionalism, efficiency, and a friendly demeanor are key to attracting and keeping investors. In addition to that, with the right WealthTech tools, clients are delivered a stress-free, smooth experience. Also, automation and integration through WealthTech allow for streamlining of back-end tasks, which gives advisors more space to engage directly with investors and communicate clearly with clients. Process acceleration solutions through WealthTech are small details that enhance the customer experience.

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MANAGE LARGE NUMBERS OF DATA SIMULTANEOUSLY

Data collection and presentation are important parts of financial management. Financial advisors collate precise market data, income, and expenditure, as well as others, and present them to clients. This process proves to be somewhat difficult without digital technology because it is difficult for humans to immediately keep up with market changes the moment they come to light and track data with pinpoint accuracy. With the portfolio management tools and other innovative tools that come with WealthTech, financial advisors can access client positions and history in no time at all with a simple scroll through a laptop or phone. This eliminates unnecessary errors and allows for accuracy. It also accelerates the speed of transactions and makes for an efficient working pace.

OBJECTIVE PROCESS MANAGEMENT

For financial advisors, effective IQ-based decision-making is important to help clients make good investments. More often than not, new investors work on emotion-based judgment and end up losing money. A financial advisor has to help the client keep a level head when it comes to investments. To do this, advisors need to organize their research processes and get the data to function as a single coherent, consistent unit. WealthTech tools stand as a solution when it comes to keeping clients' funds safe and data reliable and organized. They also aid in the growth of funds, the reduction of the income tax burden, the facilitation of retirement planning, and the personalization of clients' needs; all of which are critical processes that financial advisors must not overlook. These solutions promote efficiency, as good financial management

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means continually monitoring and optimizing client funds,

BETTER TRANSPARENCY AND RISK MANAGEMENT

Investing is not always smooth sailing, and every investor and financial advisor is aware that it comes with risks. Of course, taking care to access and avoid those risks is part of the duty of a financial advisor. With that being said, advisors must be able to offer clients customized reports to put them ahead of risks or, in the worst-case scenario, prepare them for potential losses. WealthTech provides tools that enable advisors to track portfolio performance and investment advisory tools to include changes in the market to clients' data. It also offers risk assessment tools, which help keep clients from being blindsided by a sudden drop in market prices.

SECURITY RISKS

When it comes to handling clients' funds and financial data, top security is needed to keep customers at ease and retain their trust. A high level of cybersecurity is necessary for WealthTech to function optimally, and companies must take care to implement top-grade digital tools that possess multiple high-security standards.

THE WEALTH MANAGEMENT TECHNOLOGY SECTOR

Financial Technology (FinTech) refers to the broad umbrella of software, hardware, and digital customer relationship tools

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used to support or enable banking and financial services. The WealthTech sector (wealth management technology sector) falls under the umbrella of the broader FinTech sector and is specifically for providing advisors and investors with the tools to generate wealth, hence the name. It serves as a direct alternative to traditional wealth management firms and private banks through the use of software and innovative technology. WealthTech covers a wide range of technologies that give firms an edge over traditional wealth management establishments by addressing major trends through innovation.

PORTFOLIO MANAGEMENT TOOLS

When investing, clients must take care not to put all their eggs in one basket. Having a broad financial portfolio can be crucial to increasing the probability of profit. To manage a financial portfolio is to create and oversee a diverse set of investments that will meet long-term financial objectives while increasing risk tolerance. Portfolio management tools are integral for wealth managers and companies, and integrating WealthTech portfolio management software into their operations has proven to be beneficial for boosting profits and improving returns for clients.

The rise of digital investing and saving apps has also come as a help to both investors and financial advisors who seek to use automated tools to better their investments.

AUTOMATED REBALANCING TOOLS

Portfolio rebalancing involves evaluating the investment portfolio of the client and bringing it to their desired asset allocation mix. Automated portfolio rebalancing tools analyze the assets of clients and suggest adjustments that go with the

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desires of the investor. It is now left for the financial advisor to analyze, modify, and green-light these changes.

A good rebalancing tool must not only be capable of client personalization, but must also allow the financial manager to work on the portfolio.

COMPLIANCE TOOLS

This software automates or facilitates the processes and procedures that firms put in place in obedience to industry, legal, security, and regulatory requirements. These are compliance tools. When investing digitally, clients are more likely to opt for user-friendly interfaces that will give them a smooth investing experience, and wealth management firms are increasingly turning to compliance tools for that solution. These tools make it possible and easy for financial management firms to audit user activity, streamline risk management and implement other required controls.

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WHAT DOES WEALTHTECH MEAN FOR THE FINANCIAL SERVICES INDUSTRY?

WealthTech tools, innovations, and companies' assets in the business growth of financial advisors and wealth management firms WealthTech offers solutions caused by problems of the human condition and gives strength to the areas of financial management where traditional models fail.

WealthTech improves efficiency, cuts costs, provides reliable data, and keeps advisors in the know through automated intelligence insight programs. All these tools assist in retaining existing and bringing on new clients, which is crucial for the success of a financial service company. Even areas that traditional financial models usually ignored, such as social media, are now being utilized for the sake of the industry, and this falls under the WealthTech umbrella.

WealthTech keeps the financial services industry competitive, and a competitive environment is a boon for customers, as firms will keep looking for better ways to outdo the competition by satisfying customers. This keeps the financial services industry from being stagnant and lazy. To thrive, companies will strive for efficiency and customer personalization for their growth.

Also, WealthTech has made it so that financial advice is no longer secluded to high-net-worth (HNW) clients. WealthTech

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startups attract customers with low fees and convenient, mobile platforms, reaching wider than the traditional model of financial services that stuck to those with deep pockets.

The API integrations of WealthTech innovations streamline back-end, mundane processes. For the financial services industry, this entails firms becoming more efficient, offering a better customer experience, and growing rapidly as they would have more space to broaden their market and grow their brand.

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WHY WEALTHTECH IS IMPORTANT FOR ADVISORS AND WEALTH MANAGEMENT FIRMS?

Financial advisors and wealth management firms today are inundated with promising technology solutions that streamline client data, optimize portfolios, improve marketing effectiveness, and provide seamless back-end processes. But advisors and leaders of growing wealth management firms and financial institutions are often confused about where to get started.

WealthTech tools give wealth managers a leg up on the competition when they select the best applications for their practice. New software solutions and online services brought about by WealthTech innovations can reduce costs and free up time for advisors to focus on diligent and customized planning.

Streamlining back-end operational tasks also allows for more face time with clients. Still, advisor adoption of WealthTech products has room to grow. According to a recent Kitces study (PDF), while some software categories like CRM systems and wealth planning software have high adoption rates, there are still many manual functions performed in spots such as lead generation, student loan management, overall plan monitoring, and estate planning. Financial

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advisors clearly need a boost to bolster their fintech use.

Traditional wealth management involves wealth managers who offer a wide range of financial services like investment advice and general financial planning. All of the information is based on the advisors' expertise and experience. With technology entering the arena, companies and individuals can manage their investments and assets at a speed and efficiency that goes beyond what traditional wealth management practices offer. One of the reasons for this is the misconception — and even the fear — that WealthTech tools can replace financial advisors.

However, even though WealthTech uses specialized software and algorithms to streamline wealth management, nothing can replace human interpersonal relationships. The automated processes help advisors focus more on enhancing client relationships. In a nutshell, WealthTech enhances what wealth managers can accomplish, and understanding this is one of the first steps in mastering the technology while leaving room for human equations.

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HOW WEALTHTECH PLATFORMS SOLVE THE FINANCIAL LITERACY GAP FACED BY FIRST-TIME INVESTORS?

Traditional financial management models focused on high-income and high-net-worth investors and more or less ignored first-time low-income investors. Today, the amalgamation of technology and human advisors has brought in a slew of new investors. Although these first-time investors are often technologically literate, working through the financial market is a complex process that can lead to ruin if not treaded with experience.

This is where WealthTech comes in, as digital platforms come with friendly user interfaces and professional advice. These tools educate first-time investors, give them the necessary advice, and encourage them to look at the data and invest.

WEALTHTECHS BRIDGING THE GAP

WealthTech platforms are not only run by engineers and software developers; those individuals partner with financial advisory firms. Financial advisors are available to educate

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first-time investors on the importance of financial planning, asset allocation, and portfolio rebalancing. Online and personal interactive sessions with professionals are often offered, as well as investor awareness programs. All these are set in place to walk first-time investors through terrain that may otherwise be difficult for them to tread alone.

It is important to note that first-time investors are not accustomed to volatile market conditions and other investment risks. They are often driven by emotion or gut feelings and not facts, leading them to make emotional-quotient (EQ)-backed investments and lose their hard-earned money when capital markets are in a bull run. First-time investors often invest in companies with weak financials out of a need to make money.

WealthTech programs are put in place to bridge that gap between newbies and professionals. The investors' financial goals are discussed, and advisors present investment avenues that best suit the client's risk-return profile. Transparency is important in the financial sector, and first-time investors are made aware of the risks and tax implications of the underlying investments. Through these, WealthTech builds clients' trust and bridges the gap between investors and capital markets.

ASSET ALLOCATION AND PORTFOLIO REBALANCING

Financial investments are strongly based on research and advice. As it is best to not go all in on one market, it is also wise to research viable investment options. Investments need to be diversified between various asset classes like debt, international equity, and gold.

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Asset allocation is the process of researching and deciding where to invest through the implementation of an investment strategy that attempts to balance risk versus reward by adjusting the percentage of each asset in an investment portfolio according to the investor's risk tolerance, goals, and investment time frame. The keyword here is "portfolio", as portfolio rebalancing is necessary for asset allocation.

WealthTech provides an array of accurate data, and financial advisors come with the skills to dissect this information for clients. This hybrid model helps investors understand in-depth economic scenarios and keeps them from making emotional-quotient-backed investments.

Asset allocation and portfolio rebalancing help lessen risks, realign weights in outperforming assets, and invest in underperforming asset classes that have the potential to generate higher returns.

WealthTech offers innovative software and tools that help diversify investment portfolios and personalize customer experience so that clients achieve their financial goals based on their risk and return profiles.

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CASE STUDIES OF WEALTHTECH BUSINESS

Here, we will be diving into an in-depth case study of prominent WealthTech businesses.

SCALABLE CAPITAL BUSINESS MODEL

Scalable Capital is a digital asset management service that enables access to the capital market through smart technologies, ease of use, and low costs.

The Scalable Capital business model is focused on using its large selection of investment strategies to offer a simple and cost-effective option for its users who don't want to handle their own investments. It is also a platform for investors to trade stocks, ETFs, funds, cryptocurrencies, and derivatives independently.

When required, the company constructs and administers globally diversified ETF portfolios for its clients in the digital wealth management sector, along with sustainable investment techniques.

Who is Scalable Capital?
Scalable Capital is an online trading and investment platform that is focused on bringing investment opportunities to

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individuals who may not be ready to start active trading. It was founded in 2015 in Munich, Germany, and has become one of Europe's fastest-growing digital wealth managers.

As one of the leading asset managers in Europe that is beginning to gain a foothold in the UK market, it offers a regular broker account without trading fees and an optional savings deposit account. The company creates a systematic and automated process called robo-advisors.

Robo-advisors provide professional asset management and protect users from making suboptimal investment decisions. The automation process has several other benefits for investors. They include increased efficiency, improved user interaction, reduced fees, and transparency.

How does Scalable Capital Work?
The company uses a proprietary risk management technology system, which helps it keep costs fairly low by focusing on exchange-traded funds (ETFs) as investments. Scalable Capital has a minimum investment amount of £10.000 and invests your money in
a portfolio of ETFs across a wide range of assets.

As a robo-advisor based on technology, all its services are carried out online. Interested clients use their email addresses to register and begin the process of obtaining a proposed investment portfolio. It allows its clients to see the proposed portfolio without having to provide more than their email addresses.

Scalable capital has an easy-to-use and straightforward interface. The first step to opening an account is to sign up and verify your email ID. After that, it will use external or propriety risk questions to access your attitude toward risk.

There is an obligatory risk-based multiple-choice question

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and a series of questions that focus on the client's personal circumstances. It is basically a simplified version of a fact-find.

They can ask you a series of hard facts questions like how much you earn, or soft facts questions like what your objectives are. They do this in order to make a suitable and recommendable proposal portfolio.

Once you're done with the questions, you will be presented with a proposed Scalable Capital portfolio.

During the sign-up process, you will be asked about the amount of loss that you're willing to go through. This is done to gauge your risk tolerance. People must be open-minded about the reality of trading and investment. Just like one can make money, one can also lose money. This is why you mustn't solely concentrate on the amount you could earn, but also take into account the amount you could lose.

The point is that investing is not for everyone, and if the market crashes, you need to be comfortable that your portfolio could fall in value.

What Products Does Scalable Capital Offer?
Scalable Capital creates a window for its users to invest with a Stocks and Shares Individual Savings Account (ISA), a Self-invested Personal Pension (SIPP), or through a General Investment Account:

Scalable Capital Individual Savings Account

Scalable Capital Stocks & Shares ISA is a tax-free saving or investment account that allows you to put your ISA allowance to work and maximize the potential returns you make on your money. It allows investment in a tailor-made ETF portfolio where your capital is shielded from income tax, tax on dividends, and capital gains tax, hence encouraging tax-free

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growth.

Scalable General Investment Account

This works in the same manner as its individual savings account, but without tax-free benefits.

Scalable Capital SIPP

Its Self-invested Personal Pension service is invested and managed by Scalable Capital as an investment partner of AJ Bell Investcentre. Deposits are subject to both the annual SIPP limit (€40,000 for the tax year 2019/20) and the lifetime allowance (currently £1.03 million).

Through this SIPP individuals can make their own investment decisions from the full range of investments offered by Scalable Capital.

What is Scalable Capital's Investment Strategy?

Scalable Capital uses a technology-based risk management investment strategy to improve risk-adjusted returns. It focuses on qualitative factors like human investment committees and in-house quantitative processes.

Scalable Capital provides a passive investment approach based on exchange-traded funds (ETFs) that invest in a variety of asset types. It adjusts its portfolios if the risk model algorithm predicts an increase in downside risk.

They make use of VaR (value at risk) which is an underused statistical measure that attempts to quantify the worst-case scenario. VaR is a statistical measure of the likely fall in the value of a portfolio over a period of time. It predicts 23 different risk categories, each with an in-depth analysis of possible loss outcomes in a given year. This creates an insight for clients which allows them to effectively choose one

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based on the maximum portfolio loss they are ready to accept.

Client portfolios are then built by combining ETFs representing various asset classes and geographies to maximize returns while keeping risk levels that the client is comfortable with.

On its website, Scalable Capital provides the most detailed explanation of its investment procedure. It explains how it employs 'Dynamic Risk Management' to keep a portfolio's risk level constant in order to maximize returns in both rising and falling markets. Furthermore, it demonstrates how a portfolio asset mix would have altered in the 19 years following the dot-com bubble, which makes for fascinating reading.

How does Scalable Capital Manage its Portfolios?
The risk management model at Scalable Capital is run on a weekly basis. This model forecasts weekly loss potential and detects if there will be a higher loss potential than the client has set. If a higher loss potential is predicted, an adjustment would be made to their portfolio that day.

Scalable Capital prioritizes portfolio management centered on evidence-based historical data risk analysis over forecasting future market movements. It focuses on risk so that the client may potentially avoid periods of bad performance for a given asset while maximizing the returns on the risks you take.

They also show a graphical representation of how the projected portfolio's asset mix and asset allocation have changed over time. Clients may also use a sliding bar to lower their VaR and observe how this affects the portfolio composition.

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Scalable Capital Performance

When compared to its competitors, it is clear that Scalable Capital is unlikely to be the top performer. This is solely attributed to its strong focus on risk management. Moneyfarm provides the strongest and most consistent returns in the low to medium risk range from 2017 statistics. Of course, this is a limited data range, but it highlights the difference in approach.

Although the performance of its low-risk portfolio has been exceedingly dismal, it was noted that investors who value risk management over returns may accept that Scalable Capital produced far better results with their higher-risk portfolios in what was an extremely volatile year for markets.

What are Scalable Capital Fees?

Scalable Capital charges a fee of 0.75% per year on the total amount invested, deducted monthly from investments. In addition, an ETF charge of 0.16% per year is levied. This places it at the robo-advisor market's mid-price level.

Scalable Capital does not have a hierarchical charging structure, which means that it does not become cheaper as you hold more assets with it. Its competitors, Nutmeg and Moneyfarm, charge a fee of 0.75% per year for their fully managed services. However, this reduces to 0.35% for any assets over £100,000, making Nutmeg and Moneyfarm less expensive.

Furthermore, Scalable Capital requires a minimum commitment of £10,000 to start an account, in comparison to £500 with Nutmeg or £5,000 with Moneyfarm.

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INVESTSUITE BUSINESS MODEL

InvestSuite's business model is focused on offering WealthTech as a service to banks, brokers, wealth managers, and other financial institutions.

It is a Belgian-based B2B WealthTech startup that aims to help financial institutions accelerate their digital wealth transformation by using its AI-based digital investment solutions. It provides cloud-native, modular WealthTech and InvestTech solutions to financial institutions worldwide.

InvestSuite delivers an end-to-end, configurable robo-advisor. Its robo-advisor is centered around the iVaR-based portfolio construction framework. This iVaR framework provides an automated digital investment product that financial institutions can offer to their clients.

How InvestSuite work

InvestSSite allows for seamless integration of its WealthTech solutions into an existing ICT infrastructure, optimizing marketing speed at much lower investment and operating expenses.

Their solutions are strategic and built with the flexibility to be modified as a company expands. By collaborating with core banking platform suppliers, management consultants, project managers/consultants, and others, they can function across various geographical regions.

Their strategy occurs in three phases.

Intake

The Heads of Digital/ICT and/or Innovation/Strategy and top business stakeholders are often the first to participate in the

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initial, non-binding intake conversations. If the client is interested and wants to proceed, one to three workshops are held. The goal of these workshops is for them to learn more about their clients' specific needs and the solutions they can provide to resolve them. There are no expenses for the client at this time.

Design

Once the client's objectives have been stated and fully understood, the next step is the design process. This step might not require a lot of time to complete, but depending on the size of the project, it can take anything from an instant to three months. The result is usually a target operating model, a target architecture model, the needed parameterization, and an implementation roadmap, as well as a concrete price and service proposal.

Set up and implementation

After the design plan has been completed, the next step is execution. This can take as little as a few days (in the case of our Portfolio Optimizer solution) or as long as nine months, depending on the required ICT setup.

The implementation of the design plans can be accomplished quickly with a standardized solution. But the rate of execution also depends on the size of the client. However, there's also the option of engaging in co-creation and expanding beyond an "off-the-shelf" approach. This allows for unique differentiation while still utilizing existing building blocks to progress quickly.

As a result of InvestSuite’s business strategy, they can operate in multiple geographical locations and combine the expertise and speed of smaller organizations with the proven capabilities of larger players and implementers. They achieve

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this by partnering with management consultants, the client's project managers and/or consultants, as well as core banking platform providers.

PERSONAL CAPITAL BUSINESS MODEL

The foundation of Personal Capital's business model is centered on charging advisory fees to clients in exchange for managing their finances. The fees for an investment portfolio are determined by the weight of the portfolio and the client's status as a private or institutional client.

Personal Capital is a digital asset management platform that provides tools and solutions for net worth management, investment optimization, and retirement planning. The company has a tiered compensation structure, with fees decreasing as a user commits more to Personal Capital.

They offer users free access to their financial software. This has granted them the opportunity to actively seek individuals who have invested more than $100,000 and convert them into full-fledged clients.

Their business strategy which involves investing in establishing an award-winning app, delivering amazing value to the user, and assessing whether some consumers want their money professionally managed has so far proven to be a fairly reasonable approach.

What is Personal Capital?
Personal Capital is an online financial consulting and asset management service launched in 2009 by Bill Harris, Louie Gasparini, Rob Foregger, and Paul Bergholm to streamline

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and make wealth management more transparent. It accomplishes this by providing a range of financial management tools that assist in enhancing and improving personal finance management.

The company offers on-site financial advice to account holders holding balances of over $100,000. This basically means that account holders with over $100,000 in assets are eligible to receive advice from one of the company's certified financial advisors.

As previously stated, Personal Capital generates revenue by charging clients consulting fees in exchange for managing their assets.

A Short History Of Personal Capital

Bill Harris, Louie Gasparini, Rob Foregger, and Paul Bergholm launched the company in 2009. Bill Harris was a finance executive at PayPal who supervised the merger that made PayPal what it is today. After a year at PayPal, and garnering over a million users for the platform, Harris began his next venture, which was Personal Capital.

He observed that the available money management methods at the time were, at best, mediocre. Customers who possessed checking accounts, credit cards, loans, mortgages, or retirement accounts had to access each of these services separately. Aside from being inconvenient, the lack of expedited access also resulted in a lack of transparency attributed to hidden fees.

Personal Capital was then created, with Harris and his co-founders contributing $2 million. The team then spent two years improving the product before introducing it to tremendous success in 2011.

Personal Capital, unlike its primary competitors, Betterment,

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Mint, and Wealthfront, clearly positioned itself as a hybrid advisor, employing both algorithms and human experience. The business even established a satellite office in 2013, where its financial advisors are currently working from.

They did not target a diverse range of households but instead focused on the wealthy, i.e., those with more than $100,000 in assets. This enabled them to create tools that were specifically tailored to the needs of this user base.

Because of the high quality of its products, the company received a lot of positive word of mouth, which became one of its key growth routes.

And when it comes to tools, Personal Capital's solutions, which include its savings or retirement planner, are available to everybody. Users only pay when the firm's financial analysts encourage them to. Nonetheless, it was its free tools that drove sign-ups for the company's commercial services. In fact, more than 90% of the company's paying customers came from its free tools.

In 2020, the company was bought for $1 billion by a Canadian firm called Empower Retirement. Through Empower, the company now provides services to 12 million customers with over $1 trillion in assets.

How Does Personal Capital Work?

Personal Capital offers resources and strategies for enhancing financial control. The service allows clients who register for its services to connect their financial accounts to obtain a detailed analysis of their assets and liabilities. These accounts can range from 401ks, IRAs, mortgages, loans, and credit cards, to checking accounts, and lots more.

After the registration process, clients with assets of $100,000 or more are eligible to be connected with a financial advisor

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who will examine their current investment practices, net worth, spending patterns, and overall financial goals.

Based on the user's requirements and preferences, the advisor will develop a tailored strategy that can be utilized to achieve these objectives. In addition to their own knowledge, advisors would implement other algorithmic suggestions that would either improve or complement theirs.

Individuals can also self-manage their funds through Personal Capital's other financial tools. Through these tools, the user will be able to track their net worth, save and budget, assess their financial flow, and view investment checks.

Clients that have more than $100,000 in assets, can enjoy the benefits of premium add-on services that will be provided by the company. Some of these premium features include tax management for efficiency, access to private equity, weighting for intelligent results, municipal bond inclusion, and data-driven portfolio creation.

Personal Capital offers its environmentally conscious users a socially responsible investment portfolio. This strategy takes into consideration important factors like climate change, renewable energy, diversity, labor relations, and board independence.

They also allow customers to access an extensive library of financial education content. Personal Capital can be accessed via the company's website as well as its mobile phone and tablet apps (available on Android and iOS).

How Does Personal Capital Make Money?

Personal Capital makes money from the fees it charges for its financial advisory
services. These services are open to account holders with over $100,000 in assets and apply a tiered commission

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structure to their private clients.

In exchange for these fees, users will receive advice from financial experts on topics such as investing, portfolio management, custody, or trading. Users that invest more than $200,000, are eligible to receive tips from two certified financial advisors.

Its tools remain free for everyone who signs up for the platform. The company utilizes a freemium model, which essentially sucks users into their tools but requires advisors to fully optimize financial returns. Wealthier clients, who often do not necessarily have the time to deal with their finances, are the ones seeking such financial advice.

In terms of pricing structure, Personal Capital charges an annual all-inclusive management fee and there are no hidden costs, trailing fees, or trade commissions. This conforms to the company ethos set by former CEO Bill Harris.

However, when compared to its competitors like Vanguard's Personal Advisor Service, which charges 0.30%, and Betterment, which charges 0.40%, its fee structure is positioned on the higher end of the market. Personal Capital believes its fee structure is justified given the extensive number of services the company provides, as well as the ability to access 2 accredited advisors.

Personal Capital offers three alternatives to its users that are loosely structured around:

Investment services | $100,000 to $200,000

Here, users get access to tools for financial planning, a team of advisors, retirement planning, portfolio monitoring, and rebalancing, as well as EFTs.

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Wealth management | $200,000 to $1 million

Bonuses such as a tailored portfolio of individual stocks and tax optimization are available with this option. In addition, there are two specialized advisors available who offer advice on stock options, remuneration, home finance, insurance, and other topics.

Private client | $1 million plus

This premium service includes access to specialists, wealth planning, and an evaluation of private equity and hedge funds. It also includes the conversion of capital into bonds and private equity investments.

What is the Funding and Valuation of Personal Capital?

According to reports made by Crunchbase, Personal Capital has successfully raised $265.3 million through nine rounds of venture capital funding. Its main investors include Silicon Valley Bank, IGM Financial, Crosslink Capital, IVP, and others.

Personal Capital was acquired by Empower Retirement for $1 billion. Empower Retirement is a firm that offers retirement services to other companies.

Returns like this indicate a broader trend in the FinTech sector, which has witnessed multiple successful sales in recent months. A good example would be Intuit, which recently purchased Credit Karma for $7.1 billion and Plaid for $5.3 billion.

What is the Revenue of Personal Capital?

Personal Capital reported $1 billion in sales for the fiscal year 2019. However, it was not stated whether the corporation made a profit from it.

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Success Story of Personal Capital

It all started in 2009 when Bill Harris, Louie Gasparini, Rob Foregger, and Paul Bergholm founded Personal Capital and set up its headquarters in Redwood Shores, California.

Bill Harris, the founder of Personal Capital, had worked in a variety of executive positions in the financial industry in the past. From ChipSoft, which was released in the early 1990s, was used to prepare taxes and later merged with Intuit. He went to PayPal, where he worked for a year and generated over a million members.

After working for PayPal, Harris started several startups in the financial technology and cybersecurity fields.

He started PassMark, a company that developed an online authentication system with
multiple functions designed for banks and brokers, but was later sold to RSA Security.

After he exited this company, Harris had a lot of time to contemplate his future ventures, which is when he realized that with all the expenses he was about to incur, there was no financial management tool effective enough to keep things in check.

And he noticed that he was not the only one who faced such difficulties. There were many clients, particularly from wealthy families, that suffered from the complexity of navigating the financial landscape of checks, loans, credit cards, and mortgages.

There was a lot of complexity in its finances because each account had to be accessed separately, and a lack of transparency because some credit cards and investment funds included hidden fees that were not always obvious to users.

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To tackle his problem and one that many American families were facing at the time, Harris founded Personal Capital in 2009. His co-founders were former acquaintances from other businesses he had created and sold.

The firm was founded with a $2 million investment from the founding team. And thanks to the lack of outside funding, the creators were able to construct the product without feeling pressured while researching the needs of their target market.

In August 2011, personal capital emerged from the shadows. The product was released to the public some months after the company built it. The IT company had previously obtained $10 million in series A and B funding led by IVP.

The startup was able to attract users right away. The primary reason for this was that its founders had spent the previous two years refining the core value proposition and target demographic.

While personal capital expanded in the years that followed, the company's employees thrived without Harris, who founded the entire operation. Harris chose to step down as CEO after eight years of service to focus on other entrepreneurial endeavors.

His position was filled by Jay Shah, who initially joined Personal Capital in 2009 when it was only just starting out and later progressed to the position of COO. Personal capital has grown to 2.5 million users and manages assets of more than $14 billion under Shah's leadership.

Personal Capital's bundled offerings may now be accessed by about 10 million customers who may now access Personal Capital's ER plan.

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Personal Capital will keep a distinct brand that will not be merged with its goods into the current ER services

ETORO BUSINESS MODEL

eToro is a FinTech company that allows users to trade various financial assets, including stocks, cryptocurrencies, commodities, and many more. With the CopyTrader feature, eToro allows users to mimic traders.

eToro's business model focuses on making money via the spread. It charges a number of fees to its users, including currency conversion fees, inactivity fees, withdrawal fees, and overnight and weekend fees on open CFD positions.

Founded in 2007, eToro has grown to become one of the largest online brokerages in the world. More than 20 million users are now registered on the platform, which is expected to go public in late 2021.

What is eToro?
eToro is a leading online brokerage that provides cryptocurrency trading and stock trading services to its users. It allows them to buy and sell various financial assets ranging from stocks, commodities, currencies, cryptocurrencies, EFTs, and even indices in a process that eToro refers to as "manual trading".

Through eToro, users can also buy and sell a CFD (contract for difference), which is a contractual agreement between a trader and a broker to exchange the value of a financial asset (such as a commodity) between the contract's opening and closing times. In this case, the trader would sign an agreement with eToro to replicate market conditions without purchasing the underlying assets.

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eToro also offers social trading, in which users can follow other traders and mimic their trading strategies.

A short History of eToro

eToro is an Israel-based financial services company that specializes in social trading, multi-asset brokerage, online investing, and Bitcoin exchange.

Yoni and Ronen Assia, together with David Ring, founded the company in 2007. Yoni, who studied computer science, recognized that existing trading platforms were difficult and costly to use. As a result, they became inaccessible to the average consumer.

With Ronen's background in product management and software engineering, the trio was able to secure $1.7 million in private funding to develop eToro. The platform was released late in 2007 with the sole purpose of simplifying forex trading.

In 2013, after allowing traders to publish and share the details of their trades with others, the company experienced rapid growth. The following year, eToro became one of the first cryptocurrency trading platforms.

How Does eToro Work?

On eToro, there are two ways to trade stocks. Buying and selling stocks outright (trading real shares) or trading stock price movements through CFDs. You can trade in both directions with CFDs and use leverage to increase your exposure.

Even for beginners, the eToro platform is simple to use. It has unique features such as social trading which allows users to follow other traders and mimic their trading strategies. eToro also allows its users to trade a variety of cryptos. It is praised for its social trading features, cryptocurrency offerings, and

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zero-commission stock trading.

The Popular Investor program feature it offers is an initiative that promotes the best and most responsible traders on the platform. It charges a commission based on the trader's assets under management (AUM) as well as their profits.

eToro also offers a variety of educational resources in the form of blogs and videos to assist its users in navigating the financial markets and financial assets in which they trade.

Users can gain access to eToro's platform via its website or by downloading one of its mobile applications, which are available for both Android and iOS devices.

How Does eToro Make Money?

eToro earns money from trade spreads, overnight and weekend fees, withdrawal fees, currency conversion fees, and inactivity fees.

Spread

A spread is the difference between the selling and buying price of any specific financial asset that a user trades. Spreads are applied anytime a user buys or sells an asset.

For instance, if the bid is 1.3727 and the buy price is 1.3729, the spread is the difference: 2 percentage points. The difference is where eToro makes money. Spreads are charged whenever you trade any type of financial asset on eToro, including stocks, currencies, commodities, and cryptocurrencies.

As a result, eToro is enticed to maximize a user's trading volume. As a result, features like CopyTrader encourage users to make more trades.

It should be noted that eToro makes money even when its

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users lose money. A trader can buy a CFD speculating that the price of Apple shares will fall. If the price rises, the trader will have to pay the difference in price between when he opened and closed his or her position (hence the name "contract for difference).

Withdrawal & Conversion Fee

A withdrawal fee is applied whenever a user withdraws money from their account. This fee is used to cover the cost of international money transfers. A $5 withdrawal fee is applied after users have withdrawn a minimum of $30.

Additionally, a conversion fee is charged each time a user requests a withdrawal in a currency other than the U.S. dollar. And these conversion fees are expressed in percentage points (PIP), which is the arithmetic difference between two percentages and varies according to the currency they are exchanged in.

Depending on their tier, eToro Club members can either receive discounts when converting or are completely exempt from paying conversion fees.

Overnight and Weekend Fees

eToro, like many other CFD trading platforms, charges fees for overnight and weekend trading (also referred to as swap rates or rollover costs).

This fee is a quasi-interest payment in exchange for the money eToro lends to the user to hold assets overnight or over the weekend. And it is determined by a number of factors, including:

- The kind of financial asset being traded;
- The nature of the position held (BUY vs. SELL);
- The total volume of trades. Rollover fees can fluctuate

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depending on global market conditions.

In addition to its overnight and weekend fees, eToro uses the London Interbank Offered Rate (or LIBOR). LIBOR is the interest rate that banks charge each other to borrow funds overnight or over the weekend.

Inactivity Fee

eToro charges an inactivity fee to users who have not logged into their account in the previous 12 months.

The fee is $10 per month (fees may vary in other countries) and is charged on the remaining available balance.

eToro, however, does not close any of the user's open positions in order to cover the charge.

Success Story of eToro

Yoni (CEO) and Ronen (Chairman) Assia and David Ring founded eToro in Limassol, Cyprus, in 2007. The Yoni brothers had always been fascinated by the trading and investing worlds. Yoni had even learned how to trade stocks from his father at the early age of 13, and later on, became intrigued by the tech world as well.

After completing his computer science studies in Israel and his obligatory army service, Yoni founded his first business in 2003 called CRide. CRide developed a hardware system for recording roller coaster riders, which was purchased after being transmitted wirelessly. The business was a huge hit, and his team earned a lot of money from it.

However, the potential size of the CDRide business was somewhat limited. Yoni's aptitude for trading financial assets prompted him to start a new enterprise in the financial sector. At the time, there were very few trading platforms. Although these platforms were easy to navigate, they charged

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exorbitant fees and were inaccessible to most people.

With his brother Ronen (an expert in product management) and David Ring (over 20 years of experience in software engineering), Yoni set out to change this.

eToro went public in late 2007 with a $1.7 million initial capital and months of hard work. eToro's sole focus was initially forex trading, specifically the U.S. Dollar, British Pound, Australian Dollar, Euro, and Japanese Yen.

The team prioritized simplifying the forex trading process and gamification. They offered a variety of games, like Dollar Trend, a game in which users raced the dollar against other currencies, and Forex Match. However, the gamification features did not result in long-term engagement.

As a result, eToro shifted its focus to providing traders with everything they needed to make trading easier. Commodities trading was added to eToro in 2009 as part of a $6.3 million Series B round. A year later, eToro launched the OpenBook platform, propelling the company to new heights. Users could publish and share their real-world trades on the platform. These trades could then be replicated by other traders.

This feature was named CopyTrader. The following year, eToro added the ability to trade company stocks, attracting even more (copy) traders. Another significant milestone was reached by the company in January 2014, when it began trading in Bitcoins. Since the 2017 Bitcoin craze, the company's user base has grown from six to nine million.

Previously, CFDs were the only investment option available to users in certain countries. But now these users can now own the assets they purchase (stocks or cryptocurrencies).

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What is the Funding & Valuation of eToro?
According to Crunchbase, eToro has raised a total of $272.7 million in venture capital funding over 12 rounds.

Its investors include Spark Capital, CommerzVentures, Softbank, Fidelity, China Minsheng Financial Holdings, and Korea Investment Partners, among others.

And just like we previously stated, eToro is expected to list on the NASDAQ through a SPAC merger. The newly formed company will be valued at $10.4 billion.

What is the Revenue of eToro?
eToro reported annual revenues of $650 million in 2020, a 147% increase over the previous year. In 2021, eToro generated $1.2 billion in revenue, a 103% increase over the previous year. This is the second year in a row that revenue has increased by more than 100%.

BETTERMENT BUSINESS MODEL

Betterment is a financial services company that provides investment, retirement, and cash management products to both individuals and businesses.

The Betterment business model revolves around generating revenue through its Digital and Premium plans, as well as through partner bank compensation, fees on debit card transactions, referral fees by promoting insurance packages, and Betterment for Business and Betterment for Advisors.

Betterment Business Model is based on a portfolio optimization program
that optimizes your portfolio based on your age and risk tylerance. In
addition, Betterment makes investing as easy as possible by

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keeping it to a
few minutes each month.

What is Betterment?
Betterment is a financial advisory firm based in the United States that provides robo-investing and cash management services to retail investors. It is ideal for individuals who want to increase their wealth without spending a lot of time managing it.

Betterment is a good option for investors looking for long-term returns that outperform the market. The company has built numerous optimizations into its platform that allow it to outperform traditional investment managers. Betterment's robot-advisor is one of the most cost-effective options on the market.

Betterment's revenue model includes reimbursement from partner banks for its Digital and Premium plans, debit card transaction fees, referral fees generated from insurance package promotions, and Betterment for Business and Betterment for Advisors products.

How Does Betterment Work?
Betterment is a fintech startup that offers online financial advice in the U.S. It also offers investment and cash management products to retail customers. Betterment provides four main services:

- 401(k)s
- IRAs
- Invest accounts
- Spend and Save accounts

Betterment’s Spend account equips users with a checking

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account and debit card to help monitor their spending.

One of Betterment's USPs is its no-fee, high-yield cash accounts. These help customers earn a profit and maximize their savings.

Betterment's customers enjoy an array of financial management benefits. They enjoy up to $1 million in FDIC benefits, seamless transfers, joint accounts, and an annual percentage yield of 0.40%.

Betterment's retirement plans are IRAs and 401(k)s, and they provide customized retirement plans for customers. Some other features that Betterment offers are:

- A customized savings plan based on user preferences;
- Tax-saving features that help maximize returns;
- Betterment helps invest on behalf of users with its investment account. They optimize the investment portfolio and tailor it to the customers' financial needs.

How Does Betterment Make Money?

One of the ways that Betterment makes money is through an annual asset management charge. For instance, let's imagine they handled $10 billion in assets. If their users paid 0.20% annually, Betterment would earn $20 million in asset management charges.

Additionally, most Betterment users subscribe to their Premium plan. The Premium plan charges 0.40%, meaning that Betterment earns far more than our earlier calculated $20 million annually.

Essentially, the ways that Betterment makes money are:

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- Advice Packages
- Digital and Premium plans
- Betterment for Advisors
- Betterment for Business
- Checking account
- Cash reserve
- Visa transaction fee

Advice Packages

While Betterment strives to make finance simple, it frequently falls short. To account for this complexity, the company established the Betterment Advisor Network.

It is made up of accredited financial advisors with decades of industry experience. Betterment provides a variety of consultation packages to access that knowledge and advice.

These include tips on how to get started with Betterment, auditing a client's financial situation and investment portfolio, and teaching clients how to effectively budget and save for life-changing events like marriage or college.

Clients pay a one-time fee that ranges from $99 to $299 for a one-hour consultation. The majority of Betterment's network advisors are not directly employed by the company. As a result, it is logical to assume that revenue from the packages is shared with its advisors.

Digital & Premium Plans

Betterment handles customer money with two investment programs: Digital and Premium. Their business strategy is developed with a combination of computers and human

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judgment.
Basically, each user pays an annual fee that directly depends on the amount in their

Betterment For Advisors

Betterment works with accredited financial advisors, who in turn work with a portion of the customers.
Betterment offers a SaaS application to help build the relationship between them and their financial advisors.
Hence, the birth of Betterment for Advisors. It allows the user to:

- Harvest tax losses;
- Locate assets;
- Rebalance accounts at any time;
- Deposit or withdraw money at any time.

Betterment for Advisors is specially designed to manage client wealth. When it comes to fees, Betterment charges $150 and a tiered fee that ranges from 0.12-20%. However, the exact fee will depend on the total assets of the advisor.

Betterment For Business

Betterment for Businesses is a specially designed 401(k) plan for businesses and their employees. Betterment also features consumer programs that teach users how to set up a 401(k) account and which investment options to choose.
Clients who utilize this feature have access to the payroll of various tool providers such as Rippling, Ceridian, and Workday.

For Betterment for Business 401k plans, the costs depend on the number of employees, amount of money invested, add-on features, and payroll provider.

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Checking Account

Betterment offers customers a standard checking account and debit card, plus a high-yield cash reserve account.
In Betterment's checking account, there are no monthly dues, maintenance fees, or withdrawal fees. Hence, Betterment pays all ATM fees worldwide, including foreign transaction fees, purchase, and ATM fees.
Note, however, that Betterment's accounts aren't wholly free of charge. Whenever a debit card is used to make a purchase, Visa charges a fee to the retailer. This fee is referred to as a Visa transaction fee.

Cash Reserve

Betterment's Cash Reserve offers no-fee, high-yield cash accounts to users. Account holders can currently earn an Annual Percentage Yield of 0.40%, which is eight times the national average. Betterment makes money by charging banks to invest the money of its clients in other assets.

Among the partners are Citi, Barclays, Valley National Bank, Seaside National Bank, Trust, and Georgia Banking Company. Bank account holders do not need to be concerned about their funds being wasted. Betterment is FDIC-insured up to S1 million.

Cellphone Insurance

Betterment announced in September 2020 that it would collaborate with Sure to provide cellphone insurance protection to all of its members.

The insurance provides coverage for both damage and theft. Customers will receive up to $600 per claim, with a maximum of two claims per year.

The insurance is available through Betterment's checking account. Betterment will profit from referral fees collected for

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each insurance policy booked through its platform.

Success Story of Betterment

As a result of frustration with online money management, Jon Stein, a Harvard graduate, envisioned a business idea that later became Betterment.

His former roommate Sean Owen, also a Harvard graduate, helped jump-start the idea actualization. During the creation of the first version of Betterment, Stein handled the front end while Owen handled the back end.

Due to the complex legal environments surrounding financial products, Stein needed someone with experience in the financial field. He later met an old acquaintance, Eli Broverman. Broverman helped register Betterment with the securities and exchange commission.

This was not enough, as they needed to become licensed broker-dealers. With the help of serial entrepreneur, Ryan O'Sullivan, Betterment LLC was allowed to incorporate in August 2008.

On May 2006, 2010 Betterment was introduced to the public at TechCrunch Disrupt's first-ever conference. In the same year, they launched an iPhone app, managed millions of assets, and gained thousands of customers.

With steady growth, Betterment currently serves over 500,000 customers with balances of $44,000. Betterment now manages $22 billion in assets management, employs approximately 500 people, and is America's largest robotic advisor.

What is the Funding and Valuation of Betterment?

Crunchbase reports that Betterment has raised $275 million in total through seven rounds of venture capital funding. Its

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key investors are Kinnevik, Bessemer, Menlo Ventures, and Francisco Partners, among others.

Betterment's business was valued at $800 million during the company's most recent round of funding, announced in July 2017. The company has almost certainly surpassed the $1 billion valuation mark, making it a unicorn.

Betterment does not publicly disclose any revenue or profit figures. Betterment is probably not profitable yet to continue funding its growth.

What is the Revenue of Betterment?
Betterment does not publicly publish its sales or profit data, but according to Crunchbase, Betterment has raised a total of $275 million across seven rounds of venture capital funding.

In July 2017, Bettermint's business was valued at $800 million. Ever since, the company has surpassed the $1 billion valuation mark, making it a unicorn.

CHARLES SCHWAB BUSINESS MODEL

Charles Schwab offers a variety of banking and non-banking financial services to individual and commercial customers, most notably lending and investment services, to assist customers in effectively managing their finances.

The Charles Schwab business model is focused on four different avenues for revenue generation, which include interest revenue; asset management fees; trading revenue; and bank deposit fees, among others.

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Charles Schwab has a $0 commission fee policy. However, its services can be summarized as investor services, which offer retail brokerage and banking services to individual investors, and advisory services, which offer custodial, trading, and banking services to registered investment advisors (RIAs).

What is Charles Schwab?

Charles Schwab is a financial services company that provides financial advice and support to individuals and businesses alike, ranging from banking to investment services, to help customers manage their finances properly.

It is a bank holding company that offers wealth management, securities brokerage, banking, asset management, custody, and financial advisory services. It operates in two segments: Investor Services and Advisor Services.

The Investor Services segment offers banking and retail brokerage to individual investors, as well as retirement plan services and other corporate brokerages to businesses and their employees. The Advisor Services segment offers custodial, trading, and retirement business support services.

A Short History of Charles Schwab

Chuck Schwab partnered with two other individuals in 1963 to create Charles Schwab as an investment advisory newsletter. As an auxiliary, the trio incorporated the company in 1971 as Commander Corporation. However, in 1972, Schwab purchased all of the company's stock and changed the name to what it is today.

Charles Schwab began expanding in the 1970s and 1980s. The company was sold to Bank of America for $55 million, but was later purchased back by Schwab for $280 million in 1987. Charles Schwab then continued to scale new heights and expand its presence in both online and offline

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communication.

Charles Schwab is currently expanding and doing extremely well for itself. Forbes 2022 ranks the company fifth overall and first in banking and financial services, and it ranks 188 on the Fortune 500 list. As of September 16, 2022, Charles Schwab has a market capitalization of $130.64 billion.

Business Model Canvas of Charles Schwab

Customer Segments

Charles Schwab's customer segments include:

Individuals

This comprises users that are seeking to invest in retirement plans, access investment schemes, secure loans, and obtain financial advisory services, as well as high-net-worth clients requiring wealth management services;

Corporations

These are companies from a variety of industries that need corporate banking, trading, and portfolio management services, as well as financial business solutions.

Charles Schwab operates almost entirely in the United States, serving a diverse range of domestic customers. However, it also has a presence in the United Kingdom, Puerto Rico, and Hong Kong, although they do not account for a significant portion of the company's customers.

Value Propositions

Ways through which Charles Schwab brings value to its customers include:

Its Industry Standing and Reputation

They carry themselves with a degree of prestige with high-quality services. Charles Schwab has a good track

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record as a reliable and efficient operator, with the company commanding a positive reputation within the industry.

Its technical expertise and experience

The company ensures that only highly trained specialist personnel are employed. These employees must be trained across its two operating systems. Also, they make sure to appoint experienced and well-informed industry executives.

Its customer service and personal care

Charles Schwab works closely with its clients. They do this by discussing options and risks directly, while tailoring services to the client's requirements.

Its broad range of investment products and financial services

The company provides various financial services to its customers. These services serve a broad range of individual and commercial customers.
The various online services, the company provides include online access to certain foreign equity markets. This is largely through its OptionsXpress platform.

There's also an option to download and use the mobile application. The mobile application is available for iOS, Android, and Kindle Fire users. The mobile application provides much of the same functionality as the website.

The majority of Charles Schwab's sales are done through its team of financial consultants. These financial consultants operate out of the company's network of U.S. branches.

The company provides excellent customer service through staff working at regional telecenters.

There are a number of independent investment advisors that support Charles Schwab's internal sales and consulting teams. These advisors are authorized to provide services on the company’s behalf.

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Customer Relationships

Through its online OptionsXpress platform and its mobile application, Charles Schwab offers its customers a certain number of self-service-based services. The functions available to customers on these platforms include trading stocks, tracking prices, making deposits, and managing transaction histories. All of this can be done without interacting directly with members of the Charles Schwab team.

The company offers many of its services directly to customers through its in-branch and telephone staff. These staffs seek to establish and maintain long-standing client relationships.

The company provides adequate personal care to its clients, including investment advice and risk information, discussing all options and requirements with clients on an ongoing basis.

Customers can contact their personal assigned Charles Schwab advisor via email or telephone. The company can also be contacted via phone and its online chat service concerning general issues and inquiries.

Through its Insights portal, Charles Schwab provides its customers with a range of online learning and research resources. These resources include commentary on sticks, markets, options, and international trading trends.

With the company organized online and in-branch workshops, customers get the most out of its products and services.

Customers can additionally interact directly with the company through its social media accounts, including Facebook, Twitter, YouTube, and LinkedIn.

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Key Activities

Charles Schwab operates mainly as a savings and loan holding company. The company engages in wealth management, securities brokerage, banking, money management, and financial advisory services through its subsidiaries. The company's operations are divided into two segments, and they include:

- **Investor Services:** These services include the company's provision of retail brokerage and banking services, retirement plan services, and other brokerage services;
- **Advisor Services:** These services include the company's provision of custodial, trading, and support services, as well as retirement business services.

Charles Schwab and Co, Charles Schwab Bank, and Schwab investment Management are all subsidiary companies of Charles Schwab.

Key Partners

Charles Schwab has a number of partners, which support and extend the company's own product and service offerings. These partnerships include:

- **Distribution Partners:** This comprises various third parties, such as independent financial advisors, that are authorized to provide certain services to customers on the company's behalf;
- **External Service Providers:** This comprises a range of service providers to which the company outsources some technology, processing, servicing, and support functions;
- **Strategic and Alliance Partners:** This comprises a range of companies from a variety of sectors, with

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which the company shares tools and resources and collaborates on joint projects.

Charles Schwab has agreed to a number of recent partnerships. In 2014, a partnership between it and Hunter Pence was established. This was to promote the company's brand.

It also has a marketing partnership with the PGA Tour that is set to last 20 years, and has collaborated with American Express on the development of the card company's new Platinum Card.

Key Resources

Charles Schwab's technology and communications infrastructure are its key resources. These resources include:

- Mobile and Online Platforms
- Sales and Distribution Channels
- Physical Branch Network
- Partnerships
- Personnel

Charles Schwab operates a network of 325 domestic branches across 45 states, as well as single branches in the UK and Puerto Rico. Additionally, through one of its subsidiary companies, the company has a presence in Hong Kong.

Cost Structure

The costs that Charles Schwab is responsible for include:

- Maintenance of its technology and communications infrastructure;
- The operation of its sales and marketing channels;

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- The management of its partnerships;
- The implementation of marketing and advertising campaigns;
- The payment of professional fees and use of vendor services;
- The retention of its personnel.

In 2015, 13,500 Charles Schwab employees were compensated and also received benefits worth $2.24 billion. These compensations and benefits were covered by the company. The company's professional services fees totaled $459 million for the year.
Its occupancy and equipment costs amounted to $353 million, and its advertising and market development costs were $249 million.

Revenue Streams

Charles Schwab generates revenue through the following:

- Provision of various banking and non-banking financial services;
- Investment advisory, a retail brokerage;
- Trading;
- Retirement plan services.

The company's revenue is derived from administrative fees and commissions associated with these services, the accrual of interest, and trading activities.

In 2015, Charles Schwab generated $6.38 billion in annual net revenue, compared to the $6.06 billion annual net revenue of last year. 41% of the company's 2015 revenue was from the collection of asset management and administration

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fees accounted for, with trading revenue representing 14%.

Net interest earned accounted for 40% of total revenue, with the remaining revenue made up of the company's other business operations that do not fit into the activities of the company's two core business segments.

How does Charles Schwab make money?

On average, Charles Schwarb is currently providing services to over 31 million accounts. They offer banking and brokerage services with zero commission. How do they do these and still make a profit? Read on and you will understand.

Interest Revenue

Yes, the thought of making money from zero commission is uncommon. So how do they make the money? They make their money via interest revenue from interest-earning assets.

These interest earnings include margin loans, investment securities, etc.
Page 146 of Charles Schwab's latest 10-K Form provides that the business organization accumulate $6.5 billion of revenue from interest.

The dissected analysis of revenue and interest-earning assets made by the firm are shown below:

- Money receivables from brokerage clients are estimated to be $848 million;
- Available for sale of securities is roughly $4.5 billion;
- The Bank loans generated revenue is $545 million;
- Securities lending revenue is estimated to be $334 million;
- Cash and investments segregated are $141 million;

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- And lastly, cash and cash equivalents, $120 million.

Again, all these were made out of interest.

You can find all of Schwab's released financial reports via Charles Schwab's 10-K Annual Report investors section on their webpage.

Asset Management And Administration Fees

The company makes money from its free trading business model. These business models are asset management and other administrative fees.

The asset management services come with a certain percentage taken as an advisory fee on the eligible portfolios.

The company's management fees start from 0.55% to 1.00%, with a minimum of $25,000 to $1 million in the account. This will depend on the account type and strategy.

This revenue model accounts for 30% of its total revenues in 2020. This model, however, is Schwab's second-largest revenue stream.

Trading Revenue

There is also a revenue model known as trading revenue, through which Charles Schwab makes money.
Trading revenue is the revenue earned from order flow revenue, commissions, and principal transactions.

This may seem similar to the $0 commission or free trading campaign made by the company, but this revenue is not applicable to all.
Trading revenue is only applicable to sales-pitch, online, ETFs, and self-trades of stocks, in that order.

To exchange Mutual Funds, Futures Options, CDs, Corporate

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and Municipal Bonds, Foreign Bonds, etc., you'll pay either commission fees or trading fees, or both.

Bank Deposit Account Fees

In 2020, Schwab's bank deposit account fees were estimated to be $355 million (3% of total revenue). This is for the Charles Schwab Corporation.

The corporation has some money transfer options, and all of them are free, excluding wire transfers.

Other Revenue

The "Other Revenue" is a revenue model Charles Schwab uses to make money.

In Charles Schwab's 2020 10-K Form, the company mentioned "Other" as her fifth and last revenue stream. This "Other Revenue" stream has brought in $332 million, and that's 3% of the financial institution's net total revenue.

But what are these "Other Revenue" sources? These are exchange processing fees, software fees, certain service fees, and non-recurring gains.

What is the Charles Schwab business and revenue model?

In as much as Charles Schwab Corporation has claimed to have zero commissions and a free trading business model, they make money through a few revenue streams.

These revenue streams include:

- Fee-for-service (FFS) business model
- Interest revenue model
- Commission-based business model

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- Freemium, i.e. upselling business model
- Mergers & acquisitions (M&A) business model

So the question “how does Charles Schwab make money?” should not be one without an answer, as detailed explanations have been made available in this article.

ACORNS BUSINESS MODEL

Acorns’ business model charges monthly subscription fees, interchange fees from purchases, referral fees, interest earned on cash, and annual management fees for accounts above $5000.

What is Acorns?
A lot of people want to save but often battle with the idea that it has to be done with a substantial amount, which is where Acorn comes in

Acorn is a fintech company that is known for its micro-investing mobile platform that links itself to a bank account and allows one to invest money into different things.

How does it do this?
Say a person wants to buy a glazed donut in Starbucks for $1.91, Acorn simply rounds that price up to $2 and invests the 9 cents in shares of a diversified index fund.

This platform is for people who are busy with daily activities and can’t regularly check their investment portfolios, or people who want to enter the stock market but don't have significant capital investments.

A Short History of Acorns
Acorns was launched on the 29th of February 2012. It was founded by five entrepreneurs (Jason Martell, Jeff

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Cruttenden, Walter Cruttenden, Jennifer Barrett, and Mark Dru) in Irvine, California.

In late 2011, Jeff brought an idea to his father about taking advantage of the rising popularity of smartphones. The idea was to make investments more appealing to the general public, using the popularity of smartphones to create a platform for passive and incremental investing.

In March 2014, Acorns was officially launched with an app compatible with both iOS and Android. Its first product, Acorns Invest, which allowed its users to start investments with spare change, launched with its now CEO, Noah Kernerand, garnered public user interest and since then has attracted over a million customers including Hollywood big weights Jennifer Lopez and Dwayne Johnson.

How Does Acorns Work?
Acorns is an investing platform that is primarily known for its micro-investing feature, which allows you to invest spare change into stocks.

For instance, when a customer buys a smoothie for $4.30, Acorns gives the option of rounding the cost up to $5 and putting the 30 cents into the user's investment account. This is all according to the user's investment plan, of course — conservative or aggressive. When the money reaches a minimum of $5, Acorns then invests the money in Exchange-traded funds
Depending on the age group, proximity to the retirement of the user, and the customers' personal preference, the company’s individual accounts automatically start saving a certain amount per month.

Acorns comes with a spending account. This spending account (bank account with Acorns) comes with a number of features such as automatic spare change investments in

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one's ETF portfolio, a debit card, checking, investment, and retirement accounts all in one place, and insurance coverage of up to $250,000 through the FDIC.

Acorn equally has partnerships and affiliations with other companies, and using its spend account or its debit card allows the customer cashback on products from these companies.

Acorn offers financial literacy programs and offers parents the ability to set up investment accounts for their children, as well as apportion a percentage of their earnings and spending towards investments for the family.

Since Acorns is a mobile company, its products are accessible through mobile apps downloadable on iOS and Apple devices.

How Does Acorns Make Money?

Acorns makes money through monthly subscription fees, interchange fees from purchases, referral fees, interest earned on cash, and an annual management fees for accounts above $5000. Below is an explanation for each of these revenue sources.

Subscription Fees

Acorns has three different subscription options: the lite, personal, and family subscription

Lite subscription plans come with a $1 monthly subscription fee and offer users the Acorns invest, which automatically rounds up their change and invests it in ETFs. Users also get bonus investments when conducting business with over 350 business partners of Acorn.

The personal subscription charges $3 monthly and includes the benefits of the lite plan with later and spend products.

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Later being a retirement account plan with tax advantages and spend being a checking account which allows benefits from no atm fees and a 10% bonus or more in investments to a built-in investment account.

The family subscription is $5 and comes with the benefits of both the lite and personal subscription plan and an additional Early product that allows parents to create an investment account for their kids as well as get financial advice and set recurring investments.

Interest On Cash Balance

Acorns loans out money, like any other bank, from their users, accounts to other financial institutions, individuals, and businesses and gains money from the interest earned on those loans.

Management Fees

Acorns require an annual management fee of 0.25% for accounts with more than $5000. This covers the professional fees for investing the money in the account of the given user. For users with less than $5000, no fee is charged except the monthly subscription fee.

Referral Fees

Anytime its members buy something from its 350-plus found money partners, Acorn gets a referral fee. The referral fee is part of individual agreements stated in the partnership contract and entails a percentage fee of the overall purchase. This can also be viewed as the cashback the customers get. Acorn then adds this money back to its customers' accounts or invests the money.

What are the Features of Acorns?

Saving and investing are most often an issue amongst people. Some want to save but believe they don't have or make enough to do it, and some want to invest but don't feel

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like they have the substantial income to do so. Acorns bridges that gap. Acorns is a platform that helps with easy automated investing and saving.

Acorns Invest

A mobile platform that makes it easy to invest, Acorns Invest uses your spare change to work for you and generate savings as well as an income.

Acorns Spend

Banking services such as direct deposits, a debit card, and an FDIC-insured checking account. This helps not only to manage one's investments, savings, and checking account all in one, but also offers cashback when you see the checking account to buy products in partnership with Acorns.

Acorns Later

This helps to set up retirement planning options. It also assists in managing one's investment portfolio to more conservative options as one draws closer to the retirement age.

Acorns Early

This helps to begin early investing in a child's future with as little as 5 dollars with no penalty incurred on withdrawal if it is for the benefit of the child.

Acorns Earn (Found Money)

When one shops with their debit or credit card from acorns from the 350+ found money partners, the individual stands the chance to save or reinvest money from their purchase through cash backs.

Success Story of Acorns

Acorns, its legal name being Acorns Grow, Inc, was established on February 29, 2012. It was founded by five entrepreneurs (Jason Martell, Jeff Cruttenden, Walter Cruttenden, Jennifer Barrett, and Mark Dru) in Irvine,

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California. In late 2011, Jeff talked to his father about taking advantage of the rising popularity of smartphones.

The idea was to make investments more appealing to the general public by using the popularity of smartphones to create a platform for passive and incremental investing.

Acorns was officially launched with an app compatible with both iOS and Android in March 2014. Current CEO, Noah Kerner launched, Its first product Acorns Invest, which gave its users an opportunity to start investments with spare change. The result being within the first ten weeks of testing, Acorns was up to 10,000 customers investing an average of $3 daily.

Kerner is an entrepreneurship guru. He began doing DJ gigs at the age of 13 and worked at a Super Bowl after party on the Tonight Show with Jay Leno and Jennifer Lopez.

Financing his studies of economics and psychology at Cornell, Kerner was at the peak of his entrepreneurship game and had already founded three businesses by 28. These companies were noise; a marketing agency, one level; a digital market for hip hop, and Soundproof; a music agency that handled musicians. He equally made a lot of investments. Acorns was one of them.

Not too long after his investment, the founders of Acorns asked him to become the new CEO. Kerner immediately accepted the offer.

Under his leadership, Acorns dramatically improved in terms of products and users. One of the best of these years was 2020. Government stimulus check activity increases investment activity on the platform.

The company equally opened its doors using ZipRecruiter to

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users who found that they could add value to the company, by creating job opportunities.

In 2021, as a result of the GameStop frenzy that left thousands of users dissatisfied, Acorns gained more than 500000 new members. With its constant expansion, Acorns outgrew and bought several of its competitors, like Pillar Life, expanding and growing exponentially.

Now, Acorns serves about 11 million members with different investment plans, partnerships, and services and houses more than 400 employees in its offices in New York and Irvine, California.

What is the Future Growth Strategy of Acorns?
Acorns accounts generate about $12 annually, which is next to nothing for the company, which is why the company has divulged in order to increase its sales.

With plans like Acorns later in place to provide customers with reserve funds at the peak of their careers, Acorns has partnered with PayPal to increase its constituency and new technologies in the form of B2B services are being formed as they have demonstrated to be an important source of revenue.

What is the Revenue of Acorns?
Private companies like Acorns are not required to disclose their revenue, but it is rumored that Acorns is approaching $100 million annually

What is the Funding and Valuation of Acorns?
Crunchbase has released that Acorn has acquired $207 million across 11 rounds of venture capital funding. Investors in Acorn include PayPal, Boeing, DST Global, Bain Capital Ventures, AirBnbs, and singer cum Hollywood actress Jennifer Lopez.

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Acorns is now valued at $1.9 billion according to Acorns CEO Noah Kerne as of the 9th of March 2022

WEALTHFRONT BUSINESS MODEL

Wealthfront is an automated investment platform that provides products for investing, retirement, and cash management. Wealthfront's business model is based on charging consultation fees, interbank fees, interest on cash deposits, and lending money to retail investors.

Wealthfront makes the majority of its money from a 0.25% annual advisory fee on assets under management.

Wealthfront believes that its lower fee structure, which is a quarter of the industry average, will increase investor balances. Because the organization does not charge a management fee on balances under $5,000, this is critical to them.

What is Wealthfront?
Wealthfront is a FinTech company that provides retail investors with various fund management and investment products.

Wealthfront, founded in 2008 and headquartered in Palo Alto, California, has grown to become one of the country's leading robo-advisors. The company manages more than $20 billion in assets and has raised a total of $204.5 million.

A Short History of Wealthfront
Wealthfront, based in California, is an automated investment service that offers retail investors' investment, retirement, and cash management products.

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It was founded in 2008 as a mutual fund analysis company by Benchmark co-founders Andy Rachleff and Dan Carroll. The company quickly shifted its focus to wealth management, rapidly increasing its assets under management in the years that followed.

Wealthfront was named one of the top ten best robo-advisors by Business Insider in 2020. Shortly after, the company revised its mission statement to emphasize its preference for people over institutions.

Wealthfront is now focused on offering an automated, data-driven investment service with significantly lower fees to tech-savvy Millennials

How Does Wealthfront Work?

Wealthfront's mission is to offer a variety of fund management and investment options to individual customers. Wealthfront provides high-interest checking accounts at no cost. Clients can open a free account.

Clients who open an account with Wealthfront can have a high-interest checking account without having to pay any fees. Along with receiving a debit that can be used for purchases, users also benefit from its 0.35% APY. Green Dot Bank partnered with the company to offer this checking account.

Users of Wealthfront have the option to choose how much of their account balance should be invested each month. The majority of the money is invested in a globally diversified portfolio of low-cost index funds (mostly ETFs).

Wealthfront's Portfolio Line of Credit feature allows users to borrow money as well. The user's account balance and credit history are then checked by Wealthfront. Loans can be approved in as little as one business day if everything is in order.

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Furthermore, the company offers an abundance of educational content on how to maximize one's savings, how to save for retirement, and general money management and investment advice. Wealthfront employs a team of PhDs in business and economics to provide its users with academically sound advice.

Customers can access Wealthfront through its website or by downloading the company's Android or iOS app.

How Does Wealthfront Make Money?

Wealthfront generates revenue through advisory fees for its investment products, loan interest, debit card fees, and compensation from its partner bank (Green Dot Bank).

Advisory Fee

Wealthfront charges a monthly advisory fee of 0.25% of the account balance. If a user has $10,000 in their account, Wealthfront will charge them $2.08 per month.

According to the company, its advisory fee is less than a quarter of the industry average, which is around 1%. Wealthfront's investment decisions are algorithmically driven and focused on low-cost, low-risk index funds (ETFs). This algorithm enables it to execute over 900 trades each year. This translates into a $150-time investment and a $6,321 fee savings.

Tax-loss harvesting, which means finding opportunities to reduce a user's tax bill, risk parity for accounts over $100,000, which allows users to invest in a more diversified portfolio, and smart beta are additional features.

Along with this, Wealthfront applies a small fund fee, which ranges from 0.06 to 0.13%, levied by the organizations that manage the index funds Wealthfront ultimately invests in.

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Loans Against a Portfolio

This Portfolio Line of Credit solution allows users to borrow money directly from Wealthfront.

Wealthfront evaluates the risk of credit default and uses the user's account balance as collateral. The greater a user's account balance and credit score, the more conveniently he or she can obtain a loan. Users with an account balance of $25,000 or more will be automatically granted a line of credit.

The interest that Wealthfront charges on the loan is how it makes money. The user's account balance determines the interest rate, which ranges from 2.40 to 3.65%. Users have the option of borrowing up to 30% of their account balance.

529 College Savings Plan

Investing in a 529 plan has several advantages, the most significant of which is a reduction in the amount of tax paid on capital gains. A 529 plan is a great way to save money on your child's college education while investing it in a manner that is tax-advantaged.

Wealthfront's 529 college savings plan allows clients to save automatically. The investment strategy is similar to its standard investment product in that it focuses primarily on low-risk funds.

Users pay the normal 0.25% advisory fee. A program administration fee of 0.01 to 0.05% is also applied. Finally, ETF expenses (the money charged by the ETF's operator) range from 0.11 to 0.15%.

Cash Accounts

Wealthfront offers three types of cash accounts: Individual,

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Joint, and Trust. Users can use the account to pay bills, deposit paychecks, earn interest on their account balance (currently 0.35% APY), and make payments using a Wealthfront-branded debit card.

Opening an account requires a minimum balance of $1 and is free of charge. Wealthfront monetizes these cash accounts in two ways, either by investing the user's account balance as well as fees collected on debit card payments or by the fees generated whenever a user pays with its debit card.

What is the Funding & Valuation of Wealthfront?
According to statistics by Crunchbase, Wealthfront has raised a total of $204.5 million in venture capital funding over six rounds. Greylock, Index Ventures, Benchmark, Spark Capital, and others are among the notable investors in the company.

According to Pitchbook, Wealthfront is worth around $500 million. This is a significant decrease (by more than 28%) from the company's 2014 valuation of $700 million.

What is the Revenue of Wealthfront?
Wealthfront's revenue has not increased to the point where such a high valuation is justified. In 2019 the company's annual revenue was only around $35 million.

Success Story of Wealthfront
It all started in 2008 when Andy Rachleff (CEO) and Dan Carroll founded Wealthfront in Palo Alto, California as a mutual fund analysis company by Benchmark co-founder Andy Rachleff and Dan Carroll. As its assets under management increased over the years, the company switched its focus to wealth management.

Before launching Wealthfront, Rachleff helped other businesses in the Valley establish worldwide dominance. In 2007, he launched the Fantasy Stock Exchange, which was

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rebranded as kaChing and allowed private investors to compete with friends, family, and other users on the platform. The goal was to achieve the highest return on investments, which would then be publicly shared on the platform and could be copied by others who didn't have the time to do proper research.

kaChing aimed to increase transparency in the mutual fund sector, which had previously been very secretive about the returns it produced, as it only disclosed the positions it held at the end of each financial quarter.

In 2010, kaChing was rebranded to Wealthfront. At the time of the rebranding (AUM), Wealthfront had more than $100 million in assets under management.

The company's early success was largely attributed to its stringent screening of the fund managers who applied to use its platform. Only 10% of all applications were approved.

Wealthfront prides itself on being a transparent and technologically advanced investment platform. Its fee structure was always transparent to its clients. The platform provided users with real-time visibility into how their portfolio was performing. Aside from that, clients with balances of under $25,000 were not charged advisory fees (and only 0.25% for anything above).

Furthermore, its platform could be used without much time investment, thus allowing them to focus on their challenging jobs. As a result, 50 to 60% of Wealthfront's users were based in Silicon Valley. In addition, more than 55% of its clients were younger than 35.

By 2014, Wealthfront had reached the elusive $1 billion in AUM milestone thanks to positive word-of-mouth and an expanding selection of products. It reached $2 billion a few

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months later, in early 2015.

Wealthfront is now the second-largest robo-advisor in the United States. It now has more than $20 billion in AU and over 300 staff.

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4 TRENDS IN WEALTHTECH

With technology increasingly and steadily being integrated into the investment environment, it is clear that the shift from traditional banking practices to digital-based practices that focus on accessibility, technology, and customer centricity is here to stay. Identifiable trends have been noted in this evolving industry, with these trends being based on clients' habits and expectations.

HIGH PERSONALIZATION

Research indicates that 80% of consumers are more likely to purchase from a business that offers personalized experiences. This is no surprise, as clients feel more comfortable when their specific needs are taken into account and provided for. Personalization of customer experiences builds loyalty, increases customer satisfaction, and attracts new clients by way of recommendations from happy clients.

Clients are more likely than not to give up the necessary information needed to get an experience specific to them, and wealth managers are part of service brands that offer personalized customer service.

Investors are willing to give up the necessary data under the assurance that their privacy will not be breached, and wealth management service providers will play their part by collecting that data and using it to generate value through the use of big data analytics, artificial intelligence, and machine learning algorithms.

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SEAMLESS UX

User experience (UX) has always been an important factor to note when providing customer service. Offering a smooth-sailing, stress-free experience to clients is key to the financial technology industry, as the goal is to retain old clients and garner new ones through the merging of technology and human resources.

A stellar user experience has increasingly become a priority, especially in this age of technology, where it has been noted that consumers enjoy the convenience of online services. Self-service technology has grown in popularity, and it is clear that people prefer the seamless and easy process of conversing with wealth advisors through digital channels.

The primary activity of the wealth management industry is the interaction between clients and advisors, and today, this merger of technology and wealth management has led to investors choosing faster and more convenient methods to get in touch with their advisors. The "anytime, anywhere" options of video calls and live chats have become a staple in the industry. Although these interactions take place over a digital interface, self-service capabilities must match clients' lifestyles and cover their needs in managing the investment. A seamless user experience goes a long way in garnering the trust of clients.

CYBERSECURITY

With wealth management service providers rapidly adopting the hybrid model of wealth advisory services, cybersecurity has become a huge topic of discussion. As these innovative technologies become more and more paramount, cybercriminals have become more sophisticated in their

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methods and are steadily catching up.

WealthTech involves the collection of confidential data from clients, so cybersecurity is of high importance. Wealth managers and wealth management service providers are expected to invest more money and effort in meeting cybersecurity requirements and managing security risks.

Cybersecurity issues in the WealthTech industry include malware attacks, social engineering attacks, software supply chain attacks, and password attacks, amongst others. These security risks can be mitigated through numerous options, some of which include the use of AI to detect threats, biometric options for users, two-factor password authentication, etc.

WEALTHTECH ECOSYSTEM

The incorporation of technology into the wealth management industry has left many worried that these technological innovations are here to replace the need for manpower and take their place in the industry. This fear is unfounded, and it is important to note that WealthTech incorporates technology for both investment management professionals, as well as individual end-users. This is what the WealthTech ecosystem virtually means.

The wealth ecosystem refers to the collaboration between technological startups and software development companies and the people involved in deploying solutions within the wealth management industry. WealthTech companies are focused on providing their services to both WealthTech management firms and advisors (Business-to-Business services) and consumers (Business-to-Customer services). The wealth ecosystem benefits all parties; for wealth management firms and advisors, it allows them to present

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their services to new markets via technology. Tech startups get the bonus of increasing their portfolio, getting funding, and accessing new markets by catering to the financial business side of the economy, and customers are privy to the convenience of technology in the investment sector.

WealthTech companies focusing on B2B (Business-to-Business) focus on advanced technology services for professionals and companies specializing in investments. These services have brought on the merger of various banking companies merging with tech firms, such as J.P. Morgan acquiring Nutmeg or Finantix, and Tegra118 merging with InvestCloud. B2C (Business-to-Customer) WealthTech companies work with clients directly through the provision of portfolio management and other tools adapted for the standard user. For example, Wealthsimple, a Canadian company, offers automated investments for individuals.

The WealthTech ecosystem consists of various types of services, and they are as follows:

Marketplaces
Marketplaces are centralized online platforms where information on different types of investment funds and assets is made available for financial advisors. Advisors can compare products, select third-party investment models, and make decisions accordingly, all the while retaining control of allocation, trade implementation, and rebalancing.

Investment tools
WealthTech investment tools refer to the plethora of software programs WealthTech companies provide. These include programs that monitor portfolios, manage investment planning, create notification alerts for setting goals, and invest automation software. Some software products also use artificial intelligence (AI) to assist the investor.

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Compliance
Compliance monitoring solutions in WealthTech have to do with the technology that makes sure the rules and regulations of the wealth management sector are complied with. Also known as Regtech (regulatory technology), it applies to technological solutions for regulatory control and ensures that all financial activities abide by regulatory compliance.

Financial advisors
WealthTech seeks to create a hybrid tech-human resources model in the wealth management industry. Financial advisors are one factor that bridges the gap. These are companies that specialize in offering financial advice over the internet.

Robo-advisors
Robo-advisors are digital tools that use machine learning-based methods to perform automated operations on behalf of the client. The goal is to allow investors to make smart investment decisions in a short amount of time, and it is possible to invest across different markets with robo-advisors. This, of course, depends on how the user has configured the software.

Quant advisors
An extension of robo-advisors, Quant advisors are systems that make use of machine learning and artificial intelligence to manage investment strategies.

Trading platforms
Trading platforms are for both new, and inexperienced users and experts. They are platforms that enable real-time trade and often provide additional functionalities such as advisory services.

Algorithmic trading
Algorithmic trading involves software that automates real-time trading actions. Users can customize the services of the software to their preferred trading specifications.

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Social trading/investment

Social trading platforms sprung from the amalgamation of social media and trading platforms. They allow investors to share opinions, trading experiences, and replicate investment models with other traders. This way, amateur traders can learn from more experienced veterans.

Micro investing

A trend closely related to Fintech initiatives like lending or crowdfunding, micro investing is becoming increasingly popular in WealthTech. It allows clients to invest through microcredits or small investments, thereby promoting saving.

B2B software providers

Business-to-Business service providers in WealthTech refer to the tech-startups and software-development companies that work with investment firms to create software that assists professionals in investment, savings, and wealth. These companies provide solutions in those fields and provide technical and technological support to investment firms.

Big data analytics

When WealthTech service providers collaborate with investment firms, analytics services are frequently included. WealthTech companies can provide highly specialized investment data analytics services for their B2B clients. Lack of data and reliable insights often leads to bad investment decisions — analytics providers stand as the solution to that problem.

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FUTURE OF WEALTHTECH BUSINESS

WealthTech has steadily been on the rise and, considering the impact it has had on the financial sector, it is clear to see that WealthTech solutions are here to stay. So, where does that leave us? How does the future of the WealthTech industry look?

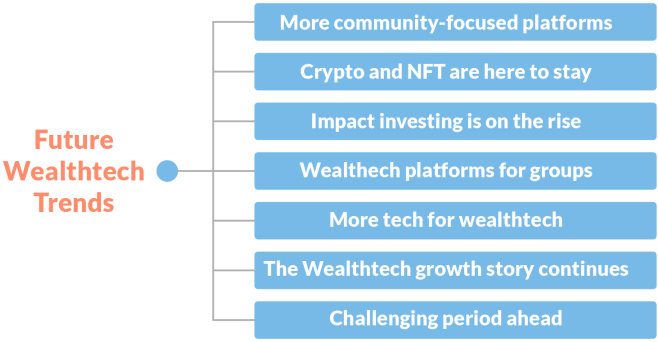
In the future, WealthTech innovations will become much more available and innovative. Wealth management firms turn to WealthTech to improve efficiency, cut costs, and keep up productivity, so it is expected that new innovations or more sophisticated versions of present innovations will be developed. Predictive analytics technology and AI solutions are constantly being worked on to improve B2B and B2C situations in the financial industry.

Following that growth, cybersecurity companies will continue to partner with WealthTech service providers to deliver paramount security to user data. It is also predicted that cloud computing in WealthTech as well as blockchain technology will remain a trend in the industry. Another noted prediction is that quantum computing will become a staple in assisting wealth managers in improving investment decisions in the long run. These developments will have an impact on the entire industry and its clientele, including private banking and high net worth (HNW) clients.

Sifted, a leading logistics intelligence software company, predicts the following for the future of the WealthTech

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industry:



PREDICTION 1: MORE COMMUNITY-FOCUSED PLATFORMS

A phenomenon currently called "democratized WealthTech", which entails that wealth-tech platforms will be focused on community, has been predicted. These platforms already exist in the form of social trading, but they are not yet as popular as they could be.

These social media-inspired platforms take a communal approach to trading and financial management, with features that enable advisors and investors to communicate with each other. Some firms are taking this approach to wealth management, as building a welcoming community is paramount to retaining happy clients and integrating amateurs.

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PREDICTION 2: CRYPTO AND NFT ARE HERE TO STAY.

Cryptocurrencies have seen a rise in the past few years, and it is predicted that they will remain in steady demand and even grow in popularity in years to come.

Experts argue that cryptocurrency is going to become “a more institutional product” and urge the WealthTech industry to take the opportunity to buy and sell cryptocurrency assets like bitcoins and NFTs.

PREDICTION 3: IMPACT INVESTING IS ON THE RISE.

Impact-investing is when investors target industries that produce social or environmental benefits. These investors seek to support renewable energy, sustainable agriculture, or other causes that they believe to be worthwhile. According to a survey by The Harris Poll, a third of millennials use investments that consider ESG factors. This is because a lot of people want their investments to mean something and make an impact.

It has been predicted that organizations focused on real impact investing will begin to trend. This trend will only increase as it is popular among the younger generation. "It is expected that in 10-15 years’ time, impact investing will be just called investing", Tom McGillycuddy, co-founder of social impact investing firm CIRCA5000, says.

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PREDICTION 4: WEALTHTECH PLATFORMS FOR GROUPS

More and more companies are beginning to develop WealthTech platforms that allow users to manage their funds in groups; these groups include friends, couples, and families.

This is because, at some stages in life, people often move from independently generating wealth to doing so with their significant other, or close friends they wish to start a business with, or family for one reason or the other. WealthTech companies have acknowledged that and are now working on filling that gap.

The Co-CEO of Qapital, a savings platform from New York, Katherine Salisbury posits that investments made into couples' wealth management haven't reached $10 million in the United States in comparison to the billions of investments into the wealth management space for single users, and this might soon change. According to her, 'Heavy fintech users are getting older, their lives are getting more complicated, and they're getting to a point where they have more wealth, or they're inheriting more wealth, so they're going to demand more robust products than perhaps what they got before.'

PREDICTION 5: MORE TECH FOR WEALTHTECH

As mentioned earlier, it is predicted that technology startups in partnership with wealth management firms will create more innovative technologies for WealthTech.

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Sifted cites banks as an example of areas in the WealthTech industry that are still lacking in tech solutions. Although technology is quickly becoming a staple, banks only accommodate basic technology, and the process of going to the bank is still stressful for clients, where the problem could easily be solved with the right technological innovations.

Experts predict that better customer service technology would be made, but this change would not come about quickly.

PREDICTION 6: THE WEALTHTECH GROWTH STORY CONTINUES

The prediction that the WealthTech market will grow rapidly in upcoming years comes as no surprise. Technology serves as a symbol of convenience in the modern sphere, and more wealth management companies will partner with tech-startups to get in on the innovations needed to please customers.

Experts agree that the WealthTech business will continue to grow, with cryptocurrency being the catalyst for it.

PREDICTION 7: CHALLENGING PERIOD AHEAD

Analysts predict that although the WealthTech market will experience growth, there will also be challenging times due to economic and market changes.

Investors are generally happy when their investments make

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high returns. Unfortunately, the situation could change and when money becomes scarce, many may not be ready to adapt their strategies.

FUTURE TECHNOLOGIES IN WEALTHTECH

As mentioned earlier, WealthTech is steadily and quickly growing, and more and more wealth management firms are adopting the hybrid tech-human resources model of operation. However, there is still space for more technological advancements. Listed below are some new technologies that could soon become commonplace in the WealthTech business.

EXTENSIVE ADOPTION OF CLOUD TECHNOLOGIES

Cloud technology is the on-demand availability of data storage, computing power, and other computer resources without direct active management by the user. WealthTech platforms thrive on internet cloud-hosted services as they are convenient for management of WealthTech platforms. As more wealth management firms are moving to mobile apps, the demand for cloud technology will increase, and we can expect to see more progress in that field.

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INTRODUCTION TO QUANTUM COMPUTING

Presently, Quantum Computing is still in its early stages, but it is a rapidly emerging technology. The science behind Quantum computing is to use the laws of quantum mechanics to solve problems too complex for the everyday, classical computer. Today, IBM Quantum makes real quantum hardware — a tool scientists only began to imagine three decades ago — available to thousands of developers.

Quantum hardware is steadily becoming more available to thousands of developers, something that wasn't possible only three decades ago, and the Financial Times predicts that by 2025, quantum computers may be made commercially available.

WealthTech deals with mathematical analysis and quantum computers could be used to strengthen the now weak and simplistic analysis that classic technology brings.

TECHNOLOGIES FOR SOCIAL IMPACT

As noted earlier, impact investment has become a trend, especially among the younger generation. Companies whose practices hurt the environment or society will soon be opted out, and it is clear that WealthTech firms would need to take part in impact investing so as not to lose customer loyalty and satisfaction.

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USE OF AUTOMATED ADVISORS

Robo-advisors have become a trend in the wealth management sector, and the use of machine learning-based methods to perform automated operations on behalf of the client will continue in the investment industry. However, the use of robo-advisors is still in its early stages, which makes many things difficult. A lot of people still prefer to seek the services of professional financial advisors, even though many firms still make use of robo-advisors.

INTEGRATING BLOCKCHAIN INTO WEALTHTECH

Investment and wealth management firms around the world are still researching the viability of blockchain technology. The reception of blockchain technology from the public is mostly mixed; many believe it is nothing but a scam, while another group of people see blockchain technology as worth investing in. Whichever the case, Blockchain technology is capable of creating new classes of assets and assisting in asset management.

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CONCLUSION

So, where does that leave WealthTech now? Well, WealthTech is clearly making major positive changes to the wealth management industry, from streamlining mundane tasks to growing wealth advisor businesses to reducing costs for wealth management firms. WealthTech solutions make it quick and convenient for clients to interact with advisors, and cybersecurity measures give clients an extra feeling of safety when it comes to investments. It has brought new opportunities for technology startups and opened wealth management firms to new markets and possibilities.

WealthTech has made waves in the wealth management sector, but there is still more to be done and more that is being done to improve its efficiency. New technologies are emerging, old technologies are being fine-tuned, and more is being put into place to maximize client convenience and satisfaction. As the shift to the next generation of wealth management solutions begins, tech-startups will hurry to continue thinking up new solutions to wealth management problems, and investments will be made to keep up with the right WealthTech solutions.

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